

JK Paper (JKPAPER)

Conference call transcripts, oldest-first. 3 call(s). Generated 2026-08-02.

Call: Aug 2022

JK PAPER LTD. Nehru House, 4 Bahadur Shah Zafar Marg, New Delhi-110002

JKP/SH/2022 6" August 2022

Electronic Filing

Department of Corporate Services/Listing | National Stock Exchange of India Ltd.

BSE Limited "Exchange Plaza" Bandra-Kurla

Phiroze Jeejeebhoy Towers, Complex, Bandra (E),

Dalal Street, Fort, Mumbai — 400 051

Mumbai — 400 001

Symbol : JKPAPER

Scrip Code No. 532162 Series :EQ

Dear Sir/Madam,

Re: Transcript of Conference Call held on 2nd August 2022

With reference to our letter dt. 2nd August 2022, please find enclosed herewith

Transcript of Analyst/Investor Conference Call held on 2 August 2022, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The said Transcript is also available on the website of the Company www.jkpaper.com.

Submitted for your kind reference and records.

Thanking you,

Yours faithfully

For JK Paper Limited

Bax (Deepak Gupta)

Company Secretary

Encl: a/a

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Transcript of Analysts/Investors

Conference Call on Q1] FY-23 Financial Results

organized by IDBI Capital Markets and Services Ltd.

August 02, 2022

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MANAGEMENT: MR. A. S. MEHTA — PRESIDENT & DIRECTOR, JK PAPER LIMITED

MR. KR VEERAPPAN — CFO, JK PAPER LIMITED

MR. ASHOK GUPTA — SR VP (FINANCE & ACCOUNTS).

JK PAPER LIMITED

MODERATOR: MS. ARCHANA GUDE— IDBI CAPITAL MARKETS & SERVICES LIMITED

Page 1 of 16

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LO 7d a eae Creating lasting impressions

Moderator:

Archana Gude:

A.S. Mehta:

Ashok Gupta:

A.S. Mehta:

JK Paper Limited

August 02, 2022

Ladies and gentlemen good day and welcome to JK Paper's Q1 FY23 Earnings Conference Call hosted by IDBI Capital Markets & Services Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Archana Gude. Thank you and over to you ma'am.

Thank you ladies and gentlemen. Good afternoon, everyone. I would like to welcome Shn. AS. Mehta sir, President & Director and Shn. KR Veerappan sir, CFO and other team members of JK Paper Limited. I thank them for giving us this opportunity to host the earnings call. I shall now handover the call to the management for the opening remarks. Over to you Mehtaji.

Thank you. Good afternoon, everybody and Ashok can you talk.

Welcome all for this investors conference call for Q1 FY22-23. We have already uploaded our investor presentation for Q1 22-23. So, we can start with some opening remarks of Mr. A'S. Mehta and then directly we will take questions for this session. I request you can briefly update

about the QI performance.

Thank you Ashok. Thank you Veerappan and everybody, whenever you want to pitch in you can just pitch in, and briefly I would talk about what has been the quarter and what is the outlook and thereafter if you have any questions, you can ask the question one by one.

This quarter has been a better quarter from different perspectives. One is that from manufacturing perspective plants operated much better compared to last year the same quarter and also the preceding quarter. Odisha plant, Telangana plant and Gujarat plant, all the three plant operations was good, quite efficient. Of course, we took annual shut in this quarter at our Odisha facility because after the COVID this was now the time available for us for our annual shuts which

we did in May end then June first week. So, that was close to 10 days annual shut which normally we take once in a year.

Other than that, the plant operations were quite efficient and good. Our Gujarat facility where we commissioned our new packaging board line and pulp mill and also the other utilities, very happy to share with you that we already achieved 90% of our new board machine and close to 100% of the new pulp mill at Gujarat facility. So, from that new board mill the volume came up in this quarter and that is why you would see that the turnover doubled, more than doubled. So, the two factors, again the volumetric growth close to 82% and the price realization and also the mix change which gave us something around (+20%). That is how the turnover doubled. The raw material costs, some pulp costs, commodity prices and also the chemical cost, the input costs have gone up. Energy prices have been very high this quarter again. So, those were factors influencing the cost increases. But at the same time as said that the NSR has gone up because

Page 2 of 16

Piered

LO 7d a eae Creating lasting impressions

Ashok Gupta:

Moderator:

Jatin Damania:

A.S. Mehta:

JK Paper Limited

August 02, 2022

we could pass on the cost increases in the market on the robust demand outlook. So, the margin we could maintain, rather we could improve our margin to some extent. On the same margin at doubled volume has resulted in the significant increase in our operating profits. Also, our finance cost has been much lower because of some gain also. That is the reason that our PAT is higher by close to 150% compared to last year the same quarter and also much higher compared to the preceding quarter.

As far as the outlook, if I talk outlook remains strong on the different categories of paper. It's a writing printing paper, officer paper and packaging boards. The new education policy and also the full fledged working in the offices are driving the demand for writing, printing and cut size paper. The FMCG sector, pharma sector and also now the food sector, with all these sectors are doing very well. On that front, packaging boards demand is fairly robust. In fact, the new capacity has fully been absorbed in the market. Our new capacity when I'm saying and also the export market is fairly remunerative. So, part volume is also going in the export market. This is all the outlook I see for two months. As far as the cost is concerned, I would say that broadly the cost is now at a stable level. Some cost has come down but there are some other cost increases are still there but energy costs I don't see any respite for this current quarter, thereafter maybe some respite. This is all about.

Archanaji, we can take now open floor to the question-answers, so that will be better to directly take questions one to one.

Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Jatin Damania from Kotak Securities.

As you said that we are able to pass on the cost increase in the market given the strong demand. I mean are we booked for the entire year in terms of volume, I just wanted to understand the long-term contract and the small some contract because if I look at the last three quarters or 3 years numbers, our gross profit margin gets picked in first quarter and then it subsides in the subsequent quarters. I just wanted to know your view on the same.

See in the paper sector we don't have the long-term contracts. Certainly, there are understandings with some of the people what going to be the volume, their requirement maybe but there are no formal long-term contracts for the volume. This is one part on the contract path. But as I said that the outlook is strong. So, we are not worried on the volume part, whatever we are able to produce from our plant the market is there. So, this is one part. As far as your question is that the Q1-Q2-Q3-Q4, the volume

volatility is always there in the paper industry because the QI

slightly after the month of May, the offices and the courts and all other things to the office paper

demand comes down. The second quarter slightly from August it is down for the printing sector. The third quarter is I mean the third quarter when I am talking it is October to December fiscal be a third quarter, is considered good for writing, printing, good for office paper. But part of the quarter for packaging board there is some downward because the festival and all at other things

Page 3 of 16

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LO 7d a eae Creating lasting impressions

Jatin Damania:

A.S. Mehta:

Jatin Damania:

A.S. Mehta:

Moderator:

Harsh Shah:

A.S. Mehta:

JK Paper Limited

August 02, 2022

are over in the month of October or a mid-November and the last quarter is better for office paper, better for printing and all, so reasonably for packaging board. But this has been traditionally the trend but this year I don't see this trend. I mean there may be many reasons because in the first quarter, we have not seen a downward trend of demand in case office paper which normally used to be, so it was a fairly strong for all of the quarter. Q2, I don't see any impact in the printing sector which earlier we used to see because right now also the printing sector demand is huge and very good traction for the paper demand. So, at this point of time, I would not say that there will be a major volatility as far as the quarterly trends are concerned for this fiscal.

So, as you rightly pointed out, if we don't see any impact in the Q2 for the printing paper, so is it fair to assume that we won't see a significant impact on the gross margin and the gross profit margin as well in the coming quarter?

As] said that when the demand and outlook is good, there should not be a major impact on the profit margin. If there is a cost increase, we should be able to pass it on.

One more question and then I'll come in the queue again. You said that the export market is a remunerative, so can you help us in terms of what is the export contribution to overall revenue? What is the margin difference between the export and the domestic market?

Right now, our export volume is close to 8% to 10%. It depends on the domestic market demand.

So, right now, since the domestic market is fairly strong, so we have reduced it. At one point of time, we were as high as 15% of the total volume but we have managed it at something around 8% to 10%. Going forward also in coming months we may restrict it to 5% to 8% because the domestic market is fairly strong. See it's not a question of the margin in the export, export prices are remunerative and they're as good as the domestic prices. But our commitment to the domestic customer is much more critical and that is why our priority to the domestic market is number one.

The next question is in the line of Harsh Shah from a L&T Mutual Fund.

Just one thing you just mentioned that, the demand continues to remain strong and this quarter on a volume basis we were more or less flat versus your Q4 of last year. We are entering Q2, you think that volume will get better on a quarter-on-quarter basis since the demand has continued to remain strong and pricing is also strong?

Yes, I would say, as I said that when you compare the volume or the total top line for Q4 to Q1, in fact as I said that the Q1 this time we took annual shut. That 5-10 days annual shut, I mean this is the volume. So, now you can think of that in Q2 and there is not going to be annual shut. Certainly, the volume is going to be higher.

Page 4 of 16

Pi ered

LO 7d a eae Creating lasting impressions

Harsh Shah:

A.S. Mehta:

Harsh Shah:

A.S. Mehta:

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A.S. Mehta:

Harsh Shah:

Moderator:

Deepak Lalwani:

A.S. Mehta:

JK Paper Limited

August 02, 2022

On an average for these three main categories that we operate in uncoated, coated and Virgin

fiber, how much was the price

increase on an average that we have witnessed in this quarter?

As I said that compared to previous year the same quarter, the average NSR increase is close to 20%.

And entering Q2 you think that the prices have remained steady so far? Because I guess July and August has also witnessed quite a bit of price hike by many players, globally as well as in India. See now the global prices of pulp and paper, they are fairly I would say they are stable at this level. Also, we don't foresee a major input cost rise. So, there is no reason for a major price correction at this point of time. Yes, minor price changes, minor price correction and also the mix change would impact the NSR, impact NSR in the sense in a positive sense, maybe shade better but otherwise I don't foresee any major price correction in coming months.

If we assume a better mix and a normalized cost environment with power and fuel and everything else, do you think that our margins can increase from here also?

I would say that we need to understand, the industry has been operating at 22%-24% operating margin for many years and at that operating level the industry used to have a ROCE of close to 12% to 14% depending on the capital structure and other thing. So, operating at 30% margin or (+30%) margin is a decent margin. If you are able to maintain this that would be very healthy.

In fact, I don't foresee a major or further improvement in the margin but the top line improvement and also the volume improvement per se should give us absolute increase in the operating profit as well as the net profit. We should be happy and satisfied on this front.

This is extremely reassuring to be very honest with you, considering how the industry dynamic is played and how JK Paper has been performing. So, that is extremely reassuring.

The next question is from the line of Deepak Lalwani from Unifi Capital.

As you mentioned that you don't foresee any correction in paper prices in the immediate time, how do you view the situation on dumping through imports? If you can give any sense from that. And on the coal, you mentioned in the last quarter that we are getting only linkage coal in the Sirpur facility and we're buying from outside in the other two plants, so has that situation improved as of now?

See as far as their dumping is concerned, I would say that very small quantity is coming as import in the country right now because the domestic prices and international prices are more or less at par. The people are finding no reason to import sizeable quantity then substantial quantity to except the coated paper because the coated paper traditionally 50%-60% has been imported in India and it will continue because the availability of coated paper in India from domestic

Page 5 of 16

Piered

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Deepak Lalwani:

A.S. Mehta:

Ashok Gupta:

A.S. Mehta:

Deepak Lalwani:

JK Paper Limited

August 02, 2022

manufacturing is limited. Other product categories we don't find a major import is taking place because the domestic prices are maybe slightly lower than the landed cost of imported products. There's no reason for people to import the paper, so right now there's no dumping. That's not a concern at this point of time. Also, from 1st of October the import monitoring mechanism will be in place by Government of India. There will be some kind of a restriction on the wrong practices being followed by the importers. That's a good thing for the paper industry and it will help. So, this is on dumping. As far as the coal your second question was on the coal. I would say that compared to last quarter and compared to the month of April and May and also July-June, I think there is a minor improvement in the situation and the availability of the coal from our Coal India and their subsidiary, it has slightly improved but we will still remain dependent on the imported coal in times to come. I would say that the cost which I've seen i

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it has slightly come down or it may remain at the same level.

You mentioned that the domestic prices are slightly lower than the global prices. How much would that difference be and that is on account of what if you could give the reason for that? Lastly you mentioned in your initial comment that we had a gain in our finance cost and also our tax rates are lower, so any explanation on these two numbers?

The prices, your first question on the difference in the prices of landed cost of imported products and domestic prices, I would say it's with the different product category it is different. The office paper I would say that the people are talking about the landed cost of copier paper something around Rs. 85 to 90 per kg whereas the domestic prices would be close to Rs. 76 to 80. so that's the price difference. The packaging board I would say the difference would be close to Rs. 3 to

4 per kg. Coated, I mean there's no point in comparing, so writing and printing, the difference maybe Rs. 1 or 2. So, this is a price difference. The difference or the lower price is because I would say that predominantly we are integrated player. Our prices are not based on the market pulp but because globally there may be number of players those who are not integrated players. So, their product prices or paper prices will depend on the pulp prices. Whereas in our case it will not be entirely on the pulp prices, it will be based on the demand supply scenario. Also, there is a landed cost of imported product.

Regarding interest you have mentioned, there is a saving on our derivative restatements whatever we have taken because of our ECB loans are in Euro, so we have gained incomes on that restatements as well as the derivative restructures what we have taken on that also we have gained in this quarter and also there is some rate reduction in our existing debt which has come to this quarter. So, there is a substantial gain in this quarter.

As far as the tax rate is concerned it is because in case of consolidated results, the lower tax rate is because we have the unabsorbed business losses of Sirpur and we are not subjected to tax on the Sirpur. So, that's the reason.

So, that was useful. If you could give the number for the accumulated losses?

Page 6 of 16

Pi ired

LO 7d a eae Creating lasting impressions

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Moderator:

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JK Paper Limited

August 02, 2022

I mean it may not be necessary at this point of time and we don't want to disclose at this stage, how much is the accumulated losses but right now we still have some accumulated losses.

The next question is from the line of Amit Doshi from Care PMS.

As far as margins are concerned, so while we were already operating on more than 100% capacity since last 2-3 quarters already. I believe this is more do to with probably this packaging board contribution as well as Sirpur Mill better capacity utilization. If that were true which your margins in packaging board is less than the copier paper etc. So, how that margin is improved? If my assumption is nght, can you just clarify this doubt of mine?

You're nght. But the packaging board margin is also improving because when you utilize 90%-95% of your packaging board capacity and there is some price correction, there also the margin improvement has taken place in packaging board. Of course, yes, it is lower than the writing-printing paper but the margin in copier has further improved. That is why as a company as a whole writing-printing paper, our office paper that improved margin has contributed for a company level margin improvement and stabilizes.

This our wood procurement, there has been significant jump from 32,000 acres approximately to 45,000 acres. So, this of course it will take its own time to get this benefit, so last 5 years if I see our trend of the number of acres is around whatever 25,000-30,000 acres. Do you

believe

with this increased capacity and this per hectare increased which has happened just last year. So, would that be couple of years where we would be short of our requirement as far as the wood pulp is concerned or it's enough?

No, we will not be short because for our capacity of total pulping, in fact 15,000 to 18,000 hectare of plantation is good enough. But we are doing more than that. I'm saying 15,000 to 18,000 hectares, so when you convert into acres, to my mind it will be close to 40,000 to 45,000 acre of plantation is good enough. Also, because now the productivity has gone up, so that's good enough. But we do purposely higher because 100%, the planted wood you cannot guarantee that you will receive because the farmers can sell to other players or for the other application also. So, purposely we do close to 35% or 40% additional plantation so that we don't foresee any difficulty in our sourcing. Right now, also we are not foreseeing any difficulty and going forward our effort will always be to do over 40,000 acres of plantation so that we don't face the problem of sourcing.

Regarding this interest costs you mentioned, there is some rate reduction. So, in this nsing intersect scenario what is the rate reduction if you can explain and with this sizable cash flow that we have generated and we will continue to probably generate going forward, is there any change in some debt repayment plan? So, what's our net debt and what is a debt repayment schedule for this '22-23?

Page 7 of 16

Pi ired

LO 7d a eae Creating lasting impressions

Ashok Gupta:

Moderator:

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JK Paper Limited

August 02, 2022

Rate reduction in two fronts, one is regarding that even the short-term also the kind of instruments which we are using there is a reduction in that also, whatever commercial paper, other things and as well as in the long term also, whatever at existing rate that is spread other things on the interest rate we are renegotiating and within the term loan also we are getting some good line as option on the fully converted, hedge line. So, there are various kind of innovative things on interest rate front, so this is a mix of it.

The next question is on the line of Nirav Seksaria from Living Root Capital.

I am Bharat here. I have couple of questions. I want to understand that you are already operating at good capacity across all your units. I think the new one you've mentioned you're at 85% but is there scope to ramp-up volumes further from here?

Of course, as I said that Q1 we had annual shut. So, now in the rest of the months there should not be any shut for the 10 days at Odisha facility, so will give the additional volume that is one part. Sirpur we have been operating at 80%-85%. There is scope to go up at least 90%-95%. The new board facility we have been operating at 90% and ideally, we should run at 100% or plus. There is a good scope to further improve the volume.

So, when you are increasing your capacity in this particular segment, you are not basically going to put in any CAPEX to increase your volumes from here, correct? Whatever CAPEX is there you are going to utilize further?

There's no need of putting a CAPEX. Please understand and appreciate that only last year we put about Rs. 2000 crores of CAPEX and also something at around 50 to 60 crores at the Sirpur Paper Mill, so no question of any additional CAPEX for at least 2-3 year for the volume. It is better that we utilize that capacity fully and in a more optimum manner to extract the volume. So, is it correct to understand that you're generating good cash flow nght now? Is it correct to understand that you would be repaying the debts or would you be also be distributing some dividends?

No, dividend we have been paying, last year we paid 55% and we will be paying dividend but certainly for our debt repayment, there will be accelerated rep

ayment of the debts.

Which means that from here on from what I understand that there will be borrowing as such and debt levels will come down over the next couple of years since you have no CAPEX plans going ahead and you want to increaserepayment cycle?

Your understanding is nght. There will not be any major borrowing and there will be more repayment to reduce the net debt position.

Page 8 of 16

4 LO 7d a eae Creating lasting impressions

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JK Paper Limited

August 02, 2022

So, finally what is the regular payment every year for the borrowing, for this year what are the regular payments and how much more do you expect to pay back?

It will be close to Rs. 325 to 350 crores kind of repayment because new line is also getting repaid, starting repayment. So, which will go up to Rs. 400 crores by '23-24 only.

The next question is from the line of Sourav Dutta from Minerva India Underserved.

On the BCTMP part I wanted to understand the status of the new BCTMP mill that has come up in Songadh. Also as far as the BCTMP use is concerned how does the current breakdown occur between hard and soft BCTMP at this point? Any reason to believe that this mix could change going in the future?

The BCTMP pulp mill, we did not put up at Songadh. We put up a bleached pulp mill there and BCTMP pulp we are still importing, whether hardwood or softwood. It is used close to 50% of the packaging boards. It goes 50% bleached pulp and close to 50% of the BCTMP. Right now, we are importing both softwood and the hardwood BCTMP. We have not done anything on this. We are still working on whether to put our own BCTMP pulp mill or continue to import.

Understood. What is the current breakdown between the usage of hard and soft BCTMP?

Depends on the product to product. I mean it varies and every mill to mill it varies.

Any overall percentage if you could give me a rough idea?

We don't disclose this kind of a breakup because it's a confidential and it's a very business call for a product to product and the sensitivity is involved, so you will appreciate that.

Understood. Secondly, we wanted to understand what percentage of the paperboard that we are making would be food grade and what percentage would be non-food grade?

The paperboard we are producing, I would say we are producing something around 90% would be the food grade. I mean the food and pharma grade and the pharma grade board is also food grade, only 10% or less than 10% would be for the wedding card or some other applications where the food grade standard is not applicable. But I can tell you that whatever board we produce is entirely can be a food grade because all the safety parameters and the measures are taken because it's a virgin pulp, no recycled paper or recycled fiber is involved. Also, whatever the coating material we use everything is food grade.

Given the current currency headwinds and limited softwood availability in India, do you see some sort of a shift towards the recycled paper wood versus virgin fiber, let's say in the next 3 to 5 years from now?

Page 9 of 16

Pi ired

LO 7d a eae Creating lasting impressions

A.S. Mehta:

Moderator:

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Venkatesh Subramanian:

JK Paper Limited

August 02, 2022

No. See the shift depends on the ultimate end product. It is not a question of availability of the softwood pulp or other thing. If the company, let's say FMCG or any cosmetic company if they want to launch their product and they want to maintain the aesthetics and the premium ness, they will use the virgin board only because of the print quality, because of the touch and feel, smoothness, brightness. That depends on the end product, not the availability of the recycled fibe

r or recycled paper.

The next question is from the line of Venkatesh Subramanian from Logic Tree.

Just two questions, one on what kind of scenario do you foresee for the next 2 to 3 years, broadly the kind of performance that we are delivering? If nothing really upsets the applecart, are we in a good scenario to sustain our performance, some sort of a guidance? What kind of challenges do you foresee? Is it input costs or logistics? What does it that you think can go wrong?

First and foremost, thing that I'm afraid of giving any guidance.

You can give me a broad idea of how things can be if everything goes well that's what I'm saying.

I agree but please understand that. The regulators and the regulation in the country, its you people know much more than what I know. But very hesitant to give you any guidance on this. But I can certainly give you that outlook what I have painted as for this fiscal year and going forward also for the country, India being the good growing economy and also a young country, focused on education, focused on so many other things there is no reason for a muted growth of paper. And also, the developing society where there is going to be a major shift in the food what we eat right now and food what we will be eating going forward because the younger generation more and more will use a packaged food rather than the home cooked food. So, when that trend will remain, the packaging board consumption will further go up. Pharmaceutical sector will boom and that will provide the driver for growth for the packaging board again. The FMCG is likely

to grow. So, again, it will provide a driver for the growth for the packaging board. I don't foresee any major driver of de-growth. That's one on the guidance I can say for next 2 to 3 years and for any industry if the demand outlook is favorable that would be a good period for industry.

Agreed. What is our current realization per ton?

I can just tell you the broad it would be close to Rs. 70,000 per ton

Average, blended and net basis it is 75,000 and compared to previous time same period it was 62,000.

So, 75000, so that's probably where I'm getting it. Do you see this kind of sustainable over the next couple of years?

Page 10 of 16

Pi ered

LO 7d a eae Creating lasting impressions

A.S. Mehta:

Moderator:

Viraj Parekh:

A.S. Mehta:

Ashok Gupta:

Viraj Parekh:

A.S. Mehta:

Moderator:

Harsh Shah:

A.S. Mehta:

Harsh Shah:

JK Paper Limited

August 02, 2022

As I said that the global pulp and paper prices and global energy prices if they remain the same level, these NSR will also be sustainable. If the energy prices come down and if the commodity prices come down and if the cost goes down, there is no reason to keep the same NSR. So, everything will depend on these two factors and energy and the commodity prices.

The next question is from the line of Viraj Parekh from Carnelian.

So, just a follow-up on the previous question, you said that our NSR is close to Rs. 75,000 per ton and you mentioned that the export market has been quite remunerative. Do you have a break up for export and domestic NSR?

No, we don't share this NSR export and domestic. But as I said in my own way that some product category, the domestic NSR is lower by 2% to 3% in different product category. So, the export NSR is high in some product categories. But it varies, it depends on the country to country, time to time. At one point of time the export NSR was much lower and the domestic prices were higher. Right now, the export is higher compared to domestic, so it varies.

It is also the impact of that rupee depreciation also that has played in our export market. So, we purposefully continue to do that in the export market to regime our presence. That is at 100% only to gain or add realization other strategies also because during the COVID time that export market has really helped us to fill our plant capacity so it is as a strategy of the company to rema

in present into that market.

Just second question is in the lines of Sirpur. You said we are currently at 80% to 85% capacity. Out of the current quarterly 1,430 crores how much have come from Sirpur and if you can share the NSR for Sirpur as a standalone entity, what would that be?

The turnover when you see the quarterly turnover close to 200 crores come from Sirpur and that you can also see from standalone and a consolidated the results. So, close to 200 crores. May be plus-minus some amount and the NSR for the product, same product manufactured at Sirpur and our own mills is a more or less on the same line because the quality of products from the Sirpur 1s now as good as the product the coming from our JK Mills.

The next question is from the line of Harsh Shah from L&T Mutual Fund.

You did mention that there will be no significant CAPEX in the next 2 years since we have only done it. Are we going to do any small CAPEX for debottlenecking any of the capacities?

No, that will always continue and as you have seen that every year without any major CAPEX 2%-3%-4% volume we may increase from our existing facilities and that's the only debottlenecking so that will continue.

How much are we doing on job work basis currently?

Page 11 of 16

4 LO 7d a eae Creating lasting impressions

A.S. Mehta:

Harsh Shah:

KR Veerappan :

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KR Veerappan:
Harsh Shah:
A.S. Mehta:
Harsh Shah:
A.S. Mehta:
Moderator:
Rajesh:
Ashok Gupta:
Rajesh:
KR Veerappan:
A.S. Mehta:
JK Paper Limited
August 02, 2022

We don't do anything job work right now I mean we produce our own.

Just last question one data keeping. As on Q1 what is the debt and cash that we have on our books?

On a consolidated level we have around 2,572 crores of debt and cash equivalent of around 918 crores.

Sorry, I couldn't hear you.

2,572 crores of total debt we have on a standalone basis, on a consolidated basis we have 3,035 crores.

And cash?

Cash will be around Rs. 900 to 1,000 crores.

900 to 1000 crores of cash on a consolidated basis and 3,572 crores of debt on a consolidated basis. Is it right?

No, 3,035 not 3,500. So, in fact last year when I was making comment on this net debt, I said that by end of March '23 our target is to reduce the net debt by 2,000 crores I mean to 2,000 crores but I think now we are already achieved this in this quarter.

And it will further go down as we end the year?

Of course, it should.

The next question is from the line of Rajesh from B & K Securities.

I had a couple of questions. You gave the market share data for coated paper and packaging board in slide #5 and you mentioned the packaging board market share is 19%. This I understand you are talking about just the VFB market which is about 1 million ton. So, where you're talking about?

Rajesh ji can you repeat that what the market share you are talking about, packaging board?

I am saying on today's call you have given some market share data on packaging board 19% so you are referring to the Virgin Fiber Board market only right here?

Yes, virgin fiber board.

Yes, virgin fiber only.

Page 12 of 16

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KR Veerappan:

Rajesh:

A.S. Mehta:

Rajesh:

A.S. Mehta:

Rajesh:

A.S. Mehta:

Rajesh:

JK Paper Limited

August 02, 2022

That is the only board we are making Rajesh.

My next question is you are addressing a million-ton market where other people also expanding now from what we hear. So, this opportunity side will actually go away in a couple of years.

Over a longer-term basis have you identified any of the market segments that you would like to make an investments because writing and printing paper or say kraft paper or something you would not like to enter at this stage which leaves the large part of the market not accessible for you. So, any other segments, area over a 5-years' time frame you have identified in terms of future growth? That is my fir

st question.

See your question is right. In fact, that is the reason we have already entered into the business of corrugation through wholly owned subsidiary and the first plant is being put up in Ludhiana and in this fiscal year itself we will start production there. So, this is a new business we are entering

and when we are entering, that is just a one first plant. Once we learn this trade and then we will expand. Our major investment is going to be either the corrugation or the packaging board. When the market further grows, we will see how do we increase our board production and we'll see if we need to put up one more machine so we'll decide in course of time.

Could you give us some color of the corrugated market in terms of the margin profile? Will it be margin diluted in terms of currently where we are?

That's a different business but is not a very capital-intensive business. So, and it's a very growing business. We need to enter into this business because ultimately unless we participate in the growth what will we do? Tomorrow you are going to ask the same question to me that sir why are you stagnating? Ultimately, we need to be partnering the growth story and the corrugation is growing pretty well.

Low CAPEX and high ROC, is that a right assumption to make for the corrugated business? Though it may be EBITDA margin low?

That's what I'm saying that we had just entered into it. We need to learn this trade, we need to further sharpen our understanding. Because at this point of time it's very difficult to say that it will be high capital employed, I mean the high ROC business or whether it is a low capital business it will depend. Let's first operate the first plant, learn from this and then we'll see the other plants. How do we reduce the CAPEX, how do we improve our profitability? That will depend on our learning from the first plant.

My second question is on the rated capacity. We have seen historically also the JK Paper the old plants particularly Odisha etc. has gone up to 106%-107%-109% utilization. Is it conceivable that on our 7.61 lakh ton we can actually practically do up to 8 lakh tons or somewhere around there? I don't want an exact figure. I just want the direction in terms of where we can go?

Page 13 of 16

Pi ired

LO 7d a eae Creating lasting impressions

A.S. Mehta:

Moderator:

Danesh Mistry:

A.S. Mehta:

Danesh Mistry:

A.S. Mehta:

Danesh Mistry:

A.S. Mehta:

Moderator:

JK Paper Limited

August 02, 2022

No of course our aspiration is to do 8 lakh tons next year. Yes.

The next question is from the line of Danish Mistry from Investor First Advisors.

Actually, one of my questions was answered by you through the previous caller's question but I had one more question which is on the NSR which is there. Number one is that if you can explain to us little bit how is this pricing decided? Is it versus import parity or something like that?

Second up to what level do you think we can continue to take it up? Are we facing any pushback from the customers or the industry as of now basically, in pharma and food and all of that?

The pricing decision is always based on the many parameters. It is not just one that we make it at par with the imported products. No. As I said that right now the landed cost of imported product maybe higher but we are not keeping our price that way. So, the prices are decided based on the demand supply scenario, affordability and also R&D. Certainly customer would always resist any higher price increase or any higher price. I mean you and me, we will also resist for any products we are buying in the market because resistance is one because anybody would like to purchase at the cheapest level and would like to sell at a highest level because this is what it happens. We always keep our price moderate keeping in mind the input cost, keeping in mind our own desirability of the profit margin and also the imported material cost or prices in the glob

al market. All these factors are kept in mind and that is why we keep our price like this. As I said earlier also in a different question, I don't find any reason for further sizable price correction because at this level it gives a decent margin, decent ROC so I mean why should we increase the price even if the global prices move up unless there is a further spot push. In terms of in the industry are we seeing any new capacity additions coming up in the next 2 years, next 2-3 years or so?

The industry capacity addition will go on when there is a robust demand but there is no major capacity announcement right now in the public domain. We can only keep track of the capacity announcement available in the public domain. At this point of time, we don't find any major capacity announcement by any major player but in the country, there are many-many small players and they keep doing something which may not be in the public domain.

But there would not be a major part of the overall industry then between the small players?

Collectively it's a smaller player and collectively do many things. It can become sizable but they are not in the public domain. But any major paper company those who are part of the PMA Associations, there are 17-18 companies, major companies are part of this association and I find no major CAPEX announcement by any of them.

The next question is from the line of Akhil Parekh from Centrum Broking.

Page 14 of 16

Pi ired

LO 7d a eae Creating lasting impressions

Akhil Parekh:

Ashok Gupta:

Akhil Parekh:

Ashok Gupta:

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Ashok Gupta:

Akhil Parekh:

JK Paper Limited

August 02, 2022

My first question is on the cost item, nght. If I look at it on a per-ton basis for FY22 there are certain line of items which are short of significantly say employee cost per-ton or other expenses per ton and power and fuel per ton. So, going forward in '23 probably do we see any certain line of items where we can see a pull-off in terms of sales per ton?

In terms of tonnage that some items like power, fuel and other expenditure may be higher because we have taken a shut in this quarter as well as that some expenses relating to our export that is occurring in other expenditure. Company is conscious wherever the reduction is possible, we are taking our efforts to do it but it is in the same line where the volume growth or product mix that it is to be incurred. Power and fuel because of coal prices some impact is there and also in raw material, chemical prices so impact is appearing in other line item also.

Even in employee cost part tonnage wise if I look at it, historically it has been below Rs. 6,000 or rather I would say FY19 was a peak of cycle was at around Rs. 5,000 per ton but now is up by almost up to Rs. 6,400 per ton. So, how do we see that line of item basically for next 2 years?

'You are comparing on a consolidated basis or a standalone basis?

I am comparing on a standalone basis.

No, you have to compare with a consolidated basis, then you will get a right picture because whatever volume of Sirpur that also happens from JK Paper as well. And also, that whatever employee cost because of new packaging board line has come so you have to take it on a consolidated basis and you will get a right picture. In terms of the percentage if you see there is a reduction, if you see that compared to the previous corresponding quarters there is a reduction from 7.5% to 6.5%. So, there is no reason that the absolute number it will go up but if you compare that with June quarter because of COVID situation or that all these factors also you have to built up while calculating your per ton.

My second question is on the our NSR growth if I look it for the first quarter of '23 vis-a-vis FY22 its up by almost 15% odd and plus if I look at our volume run rate it looks like we probably can end this year at around 7,50,000 tons, would that assumption be right? Like if

we assume

say sales realization growth of 15% for this year vis-a-vis last year and plus the volume at around 7,50,000 tons basically for FY22?

Volume growth already we have declared our capacity with overall consolidated about 7.6 lakhs tons and currently as sir has mentioned that we are running our plant at a full capacity. The volume should be around to that level and price realization growth as of now we can't give you that guidance in the same quarter that growth will continue. This is the market factor which in the current quarter has been reflected.

Has there be any price correction in the brown paper, kraft paper?

Page 15 of 16

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A.S. Mehta:

Ashok Gupta:

Moderator:

JK Paper Limited

August 02, 2022

We are not in the brown paper so we don't want to give any comment on this. It will be unfair on our part to tell you I mean the pricing of the brown paper.

Thank you so much and everybody is showing keen interest and hope that we have clarified all the questions and the explanations whatever you wanted.

Thank you Archana ji and thank you all for participating in the call and we will be certainly interacting with you wherever we get that opportunity. Thank you all.
Thank you. Ladies and gentlemen on behalf of IDBI Capital Markets & Services that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Page 16 of 16

Call: May 2023

Electronic Filing

JKP/SH/2023 24th May 2023

Department of Corporate Services/Listing BSE
Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai – 400 001

Scrip Code No. 532162
National Stock Exchange of India Ltd.
“Exchange Plaza” Bandra-Kurla Complex,
Bandra (E),
Mumbai – 400 051

Symbol : JKPAPER
Series : EQ

Dear Sir/Madam,

Re: Transcript of Conference Call held on 19th May 2023

With reference to our letter dt. 20th May 2023, please find enclosed herewith Transcript of Analyst/Investor Conference Call held on 19th May 2023, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The said Transcript is also available on the website of the Company www.jkpaper.com .

Submitted for your kind reference and records.

Thanking you,

Yours faithfully
For JK Paper Limited

(Deepak Gupta)
Company Secretary

Encl: a/a

Page 1 of 18

Transcript of Analyst/Investors Conference Call on Q4
FY2023 Financial Results of JK Paper Ltd. hosted by IDBI
Capital Markets and Securities Ltd.
May 19, 2023

MANAGEMENT : MR. A. S. MEHTA – PRESIDENT AND DIRECTOR – JK
PAPER LIMITED

M R. K. R. VEERAPPAN -- CHIEF FINANCE OFFICER --
JK PAPER LIMITED
M R. ASHOK GUPTA -- SENIOR VICE PRESIDENT -
FINANCE AND ACCOUNTS -- JK PAPER LIMITED

JK Paper Limited
May 19, 2023

Page 2 of 18

Moderator: Good evening, everyone. Welcome to the Q4 FY23 Earnings Conference Call of JK Paper Limited. As a reminder, all the participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I'd like to welcome Sri A.S. Mehta, President and Director, Sri Veerappan K.R., Chief Financial Officer, Sri Ashok Gupta, Senior VP Finance and Accounts of JK Paper. I thank you for giving us this opportunity to host the earnings call. I shall now hand over the call to the management for the opening remarks. Over to you, sir.

Ashok Gupta: Thank you, Archana ji. I will request Mr. Veerappan to brief the financials.

K.R. Veerappan: Good evening, all. Of course, the presentation, as Ashok mentioned has been already uploaded. I am sure all of you have seen. But we thought we will just take 5-10 minutes to just briefly go through on the important points and then we will open the session for the question and answers. JK Paper's performance for the last year, 2022-23 has been a great year. And you can see from the results, it has been a phenomenal year.

Just a few points, the capacity utilization was at 103.9% against 100.1% last year and the turnover is the highest ever, which is there in the results -- published results. And one important thing which happened last year was acquisition of two companies in corrugated packaging business. And both the companies put together, they are the largest across the country. So that's been one feather in the cap in the last year. And of course, the thrust on the plantation activities continues. Last year around 8.32 crores saplings have been planted covering 55,700 acres. And we continue to be wood and carbon positive company.

And just one information I would like to make, we are proud to say that the company has covered so far around 6 lakh acres of plantation and we have planted already over 110 crores saplings till date, right from the beginning. And last year, few new products have been introduced like JK Eco Green, Purefill and Tuff freeze P2P. As regards credit rating, I think JK Paper is the first company to have upgraded, getting into the AA rating from AA minus stable we got upgraded to AA. And our subsidiary by both the agencies, CRISIL as well as India Ratings and our subsidiary is Sirpur, has been upgraded two notches in this year from A positive to AA minus positive.

Yes, the financials are there in front of you. The volume details are there, and the revenue and the EBITDA margin- fourth quarter was around 29.8% and full year 33.1%. So, there is an increase of 5.6% over last year. And this gives the yearly trend, and this year has been a phenomenal year. And from INR4,244 crores, we are moved to INR6,772 crores. And you can see the rise in EBITDA also from INR1,122 to INR2,184 and so with PBT and PAT.

And for the last year, we did the INR544 crores PAT delivered and now it's more than doubled in one year. It's already crossed the INR1,000 crores milestone, but not only INR1,000 crores, we have crossed INR1,200 crores, INR1,208 crores is the PAT delivered last year. These are the continuous improvements you can see on the various parameters in terms of the interest rates and ROC.

JK Paper Limited
May 19, 2023

Page 3 of 18

And the borrowing situation -- the cash situation has been healthy. We have been reducing the net debt constantly. At this point of time at the consolidated level, we are at around INR1,900 crores of net debt. The net debt to equity is less than 0.5 and net debt to EBITDA is less than 0.1. We are at 0.89. So, these are the volume jumps. Volume has already gone from right from 2005, you see the journey. And from 2020, there has been a significant jump.

Now I think the rest by and large, we have covered. So Mr. Mehtaji, would you like to s

ay

anything more? Before we open the question and answer.

A.S. Mehta: Very good afternoon, everybody, and thanks for joining this call. In fact, the year 2022-23 has been a very favourable market, as well as a good year for the paper industry. I would say that the 2022-23 has been the outlier year for the industry in many, many ways. The demand was robust. Also, the global pulp prices were very high, so the integrated player, those are in the country, most players are the integrated player. So since the pulp prices were higher, paper prices

globally were higher. So, we got the advantage of the higher NSR. So the volume, NSR, both played a positive factor for the much-improved performance during the year. Also during the year, our new packaging board capacity, which we could utilize up to 90% because of the strength of the market and the demand in the market. So that also played a significant role. And also year-to-year in fact from our Sirpur point of view, because after acquisition, this is the second year of the full running of the plant and there also we could produce close to 90% of the capacity. And when the market was favourable, in fact, whatever we produced, we could sell at a good price. And that's the reason that the Sirpur, we clocked somewhere around INR300 crores plus the PAT, which is phenomenal.

I mean, if you think about a company of a one with 30,000 ton of capacity and also when there is a sentiment about the replacing the plastic, so there's a good moment as far as we are concerned for the packaging material. So, this is on the paper side. Of course, there were challenges because of the commodity prices, because of the energy prices, but somehow, we could recover from the market, and we were fairly comfortable.

Also during the year, all the operating parameters also we did very good. And the acquisition, the corrugation business, because we entered into this business. So, our Ludhiana plant, so erection and commissioning were as per schedule. And the top of it, the icing on the cake was the acquisition of India number one corrugation, these two companies put together. And in the quarter 4 where this was consolidated in our result, broadly they were in line with what projected. So, this is all about. And yes, the market is likely to be volatile in coming days, but the strength of JK Paper and the whole the team, what we have we should outperform the industry again in time to come.

Thank you now, we can address all the questions and the house can be open.

Moderator: Sure. Thank you so much, sir, for this presentation and your words. Let's start the Q&A session. We have Harsh Shah as our first speaker. Harsh, please go ahead.

Harsh Shah: Yes, thank you very much. Congratulations to the team for such a successful year. I just have a few questions on the Q4 results and then I have a couple of questions on the way going forward.

JK Paper Limited

May 19, 2023

Page 4 of 18

Firstly, on Q4, can you just explain in terms of the margin variations that we are seeing on a quarter-on-quarter basis? Firstly, on gross margin and I guess there is a bit of high elevated other expenses, was there any one off in this quarter?

A.S. Mehta: Okay, I would suggest that please put all your questions so that those can be addressed in one go.

Harsh Shah: Sure, sure, sir. Second is, again towards the Q4 result only. You mentioned that we have acquired both corrugated packaging companies in this year. So is there any numbers that you can give like in terms of this quarter? Has those two companies contributed anything to your revenue and also to your margins, bottom line, etcetera? And those were the two questions that I had on Q4 results.

And then just going forward in one of the interviews, Mr. Veerappan said that a company intends to achieve a INR7,000 crores of turnover next year. Can you just also help us understand, of course, there has been volatility in pulp pri

ces, we are seeing that globally, but in terms of margins, where you will be profitability, we have clocked INR1200 crores, will it be similar, will it be lower? If lower, you know, what is the variation that internally you guys are planning? And last question that is again on strategy level is, in terms of scaling up the businesses that you've acquired, what is the plan going forward? How big can it be businesses and how a consolidated JK Paper will look like after full integration of the two acquired businesses also? So these were the board four questions, I had.

K.R. Veerappan: Yes, your question on Q4 margin variation, I think we have mentioned that there has been a little bit of a price drop in the coated paper and the packaging board. And as far as the other expenses are concerned, if I'm not wrong, we are seeing the consolidated number and consolidated this time we have the two companies, Horizon Pack and Securipax packaging expenses also added in that expenses. So that's why compared to last year, it looks higher. Otherwise, it's just the consolidation impact.

And as far as the numbers on corrugated packaging business is concerned, in Q4 we have delivered around INR190 crores topline. And overall, if you see in the consolidation for full year, it's around INR231 crores and EBITDA line will be in the range of INR23 crores.

A.S. Mehta: All right. As far as your question on the turnover or outlook for 2023-24 and also the corrugation business, I would say that on a full year consolidation basis, the corrugation business should give close to INR1,000 crores to INR1,100 crores of turnover and EBITDA of INR100 cores to INR120 crores, depending on what kind of a craft paper prices trend remains in the market in coming year. So that's one part.

And if you consolidate it on a full year for kraft, I mean, the corrugation business and the paper and packaging board business, we should be close to INR7,000 to INR7,500 crores as a topline. Does it answer?

Harsh Shah: And consolidated margins, sir? Like consolidated profitability?

JK Paper Limited

May 19, 2023

Page 5 of 18

A.S. Mehta: Margin, it is difficult at this stage because see, please understand corrugation business will give a margin of something around 10% to 16% depending on which period are we in. Right now, if you ask me, the margin is 12% to 14% in this industry. And in time to come when you utilize the capacity better, it could be 12% to 16% in the corrugation business. And the paper business, I would say that the price volatility will be there, and commodity volatility will remain in '23-'24. So it's very difficult, but I can only tell you that the margin of '22-'23 will not be there in '23-'24.

Harsh Shah: Understood, sir. That was very helpful. And just lastly, and just one of the things that you mentioned earlier, if we have to going forward, see JK Paper standalone, that will be a pure paper business and consolidated will have packaging. Is that the right way to see or how Sirpur will be accounted for?

A.S. Mehta: Sirpur is also consolidated and the Sirpur is purely a paper company. And the JK Paper is also paper and packaging board. And the consolidated, certainly you will have a corrugation business. So that's very simple. I mean, something around INR6,000 crores plus will come from paper and INR1,100 crores to INR1,200 crores will come from the corrugation business.

Harsh Shah: Understood, sir. So that was very helpful. Thank you and all the very best. Thank you.

Moderator: Thank you, Harsh. Next, we have Deepak Lalwani. So please go ahead.

Deepak Lalwani: Yes. Hi. Thank you, gentlemen, for taking the questions. So my first question, if I heard you right, the corrugated paper contribution in this quarter was INR190 crores top line and INR23 crores PAT.

K.R. Veerappan: No, no, I mentioned about EBITDA, INR190 crores top line in Q4 and around INR18 crores EBITDA in Q4. Overall year, we had a Decemb

er also some 20 days. So overall year, it's around INR23 crores EBITDA.

Deepak Lalwani: Okay. And what will be the contribution to PAT?

Management: Contribution to PAT is about 4 crores.

Deepak Lalwani: INR4 crores. Okay. And sir, since, you know, although we are early in this business, any learnings you would want to share with us and the way for the business going forward as to how you would, you know, sort of ramp up and you know, come to the profitability guidance that you have?

A.S. Mehta: The corrugation business and as you rightly said that it is too early for us because we are also learning this business. And every day there is some new learning for us in this business. But I would say that we have a good team in that business and the erstwhile promoter, they are still continuing with us, and they are contributing in a very, very positive manner. So, we have a good mix of team, some of the people coming from JK paper business and the existing or the erstwhile promoter, they are continuing.

JK Paper Limited

May 19, 2023

Page 6 of 18

And also, we have recruited some more people in corrugation business. So, going forward, there will be a good mix of professional people and also those older people. But I am confident that we have a good team, and this business should do better in time to come. See, the learning is that in that trade you need to have a very strong relationship with the customer. And once you have a good customer acquisition, your capacity utilization goes up and that adds good value for the business.

Deepak Lalwani: Right. Got it. And in your comments to the earlier participant, you mentioned that there is a correction in the quoted and the packaging prices. And you also see that, you know, the China pulp prices have been corrected quite a bit. So, any short-term guidance if you would want to give on the realization and, you know, any cost levers? Do we have any cost levers to sort of protect our EBITDA per ton that you make? Any comments on that?

A.S. Mehta: See, I would say that the paper industry EBITDA margin, I would say that if it remains in the band of 20% to 25%, it is a decent EBITDA margin. So, and that gives a healthy ROCE also if the EBITDA is 20% to 25%. And I would say that right now also even the coated paper prices have come down, packaging board prices have come down. But at the same time, that the pulp required, mechanical pulp required for packaging board has also come down sharply. I mean,

from a \$900 a ton, it has already touched \$500 a ton. So, that also gives an advantage. So, going forward, if we are able to have something around 25% margin, there's a very decent margin and we should be happy with that kind of margin. As I said that the 2022-23 has been an outlier year and we can't expect a kind of a margin of a 35% or a 40% margin in time to come.

Deepak Lalwani: All right, so got it. And how much has been the price drop? If you can give us the range in both the segments.

A.S. Mehta: See, the coated paper price drop has been close to 20% and the packaging board prices have also come down by 10% to 12%. Sure.

Deepak Lalwani: And sir, if you can indicate the utilization levels in our packaging plant and the Sirpur unit and any guidance for the volume growth in FY24.

A.S. Mehta: Both these plants are operating at 90% packaging board new machine as well as the Sirpur and in fact, we have already touched some 90% plus now and hopefully in this year, maybe after the second quarter, we should be operating at 100% at both the facilities.

Deepak Lalwani: Okay. Got it. And after this price drop, do you expect any further correction or do you think for the next two, three quarters, we are done with this sort of correction?

Management: See, very difficult at this stage because entirely it will depend upon the global pulp price trend I know and slightly, this may be higher pulp prices later on because pulp price anything below 550 is

not right price for the pulp manufacturer because their costs of production and the other issues. So, sustainable pulp prices would be in the band of \$525 to \$575 or \$600. So, if at this level, it is not a sustainable price level for the pulp manufacturer.

JK Paper Limited

May 19, 2023

Page 7 of 18

So, if the pulp prices goes up again, then there will be opportunity for a stable output price as well as there may be some opportunity to correct the prices again northward. But it will remain very volatile in this year, 2023-2024.

Deepak Lalwani: Understood, sir. So, lastly, on your balance sheet, any targets you have on the debt repayment for 2024?

Management: Normal repayment, whatever that we have scheduled, that will continue, and we are also exploring that if some high-cost debt can be prepared. So, on the rebate repayment will be almost INR450 crores. INR500 crores.

K.R. Veerappan: around INR500 plus, INR500 crores to INR540 crores will be.

Management: That is the repayment, normal, but certainly that we are keeping that interest cost also in mind. So, wherever we find that opportunity to prepay we will continue to do so.

Deepak Lalwani: Sure. I have more questions, but I will join back in the queue. Thank you.

Moderator: Thank you, Mr. Lalwani. Next, we have Amit Doshi from Care PMS. Sir, please go ahead.

Amit Doshi: Yes. Sir, you mentioned yesterday in interview that this wood procurement cost is increasing. So, can you just share some thoughts around that what is it and how it is impacting us?

A.S. Mehta: All right. See, the wood procurement cost is increasing because the wood, the requirement has gone up because of two factors. One is the MDF and the plywood. When the construction industry is doing better, then the requirement of and the demand of plywood and MDF goes higher and they need additional wood and since they do not do plantation, so the pressure comes on the plantation done by the paper industry. So, in fact, in northern part of the country as well as in the western part of the country, prices moved up substantially and later on the impact also was felt in the southern part of the country.

So, there is an increase in the wood cost. At the same time also, there is a linkage with the MSP announced for the food grains because the farmers will always compare their income stream with the other crops. So, if they get better reward in doing a cotton or a paddy or a wheat or sugarcane or any other crop, they will have a shift from plantation to the crop. So, we need to keep all the time in mind that what kind of a revenue I am able to generate for a farmer.

So, that is why there is an increase in the wood cost. Yes, wood cost increase will have an impact on the profitability. So, in fact, last year alone in the western part of the country, price increase was substantial. It was more than 25%. But in the northern part and southern part, it was decent. It was something around 6%-7% or so. But it was okay because the output prices we could increase, and we could recover from the market. So, this was fine. See, the present raw material cost also and present prices in the market, I mean, these are all manageable and find no issue at all at this point of time. But if the output prices goes much below, then it will start hitting the paper industry.

JK Paper Limited

May 19, 2023

Page 8 of 18

Amit Doshi: Okay, got it. Sir, in terms of our NSR, what has been our NSR for Q4 and Q3? And this question is because we do not have that top line breakup in the PBT that you have given. So, we are not able to understand. And second, the question linked to it is this, the global pulp price you mentioned came down from \$900 in August 22 to say \$500 now, which is not sustainable, but broadly, how they are linked. So, if the global pulp prices are down by 40%, would our NSRs also come similarly down by 40% or what if you can just explain that linkage as well along with the

numbers?

A.S. Mehta: Global pulp prices and the NSR, there is not a direct link sometime and see in the long run, there has to be a linkage between a pulp price and a paper price. You understand that many a times that linkage is broken, because ultimately, it is the demand and supply of the output, not the pulp. So, if the demand and supply of the paper is fairly balanced, or if the demand is more than the supply, then irrespective of the pulp price, the paper price would be different. But at the same time, if the supply is more and demand is less, irrespective of the pulp price, the paper prices will be lowered.

That we have seen in the past also. Our general understanding of the paper industry is that if the pulp is X, the paper prices should be \$250 plus X. This is the general understanding. So, if the long term, the trend, if somebody plot the long term, I mean, you will find a delta of \$200 to \$250 depending on the energy cost. At the current energy cost, the delta can be as high as \$300. So, if the pulp price is \$500, paper prices should be in the band of \$800. And as long as the demand supply again, this will play a role. So, that is the factor.

Amit Doshi: Okay. And if you can share NSR of Q4 versus December?

A.S. Mehta: I think the NSR we do not share because it is, to my mind, this is the number, I don't want to talk on the NSR.

Management: Which sir has already indicated about the trend. So, I think that should be sufficient enough because it is a mix and as well as various combination into that. So, let us go by that.

Amit Doshi: Sure, sure, sure. Sir, regarding corrugated business, so this Ludhiana plant when it is likely to come on stream and kind of contribute to our top line, bottom line and in terms of the raw material procurement chain that we such a strong chain that we have in our paper business. So, in corrugated, how comfortable we are in terms of our raw material availability and stuff like that?

A.S. Mehta: Sir, Ludhiana plant the trials are going on and because you understand that it takes time because of erection and commissioning was done sometime in October, November, December and thereafter the trials were going on and we were new. Also, the workers we recruited; they were untrained people. So, we were training the workers, the machine supplier, they were also stabilizing the machine. Broadly now, some part is stable but there are still one the teething issues are bothering us.

Hopefully, by next month we should be able to stabilize the machines and also one major equipment one which was delayed because of the zero COVID policy of China and some supplies from China to the machine supplier were impacted. So, in fact, we are likely to get that

JK Paper Limited

May 19, 2023

Page 9 of 18

machine sometime in June. So, once that machine is installed, then only we will get a sizable production from Ludhiana facility. So, hopefully in next 2-3 months' time, we should be up and running the Ludhiana plant at a decent level.

Amit Doshi: Okay. And sir, you mentioned about INR540 crores of debt repayment. I believe even if we have say a 20% margin next year with INR7,000 crores top line, we will have close to INR1,000 crores or plus cash generation. So, what could be a priority in terms of utilization of that additional INR450 crores of cash? I mean, presuming things happen this way?

A.S. Mehta: A building the war chest so that in future we can do something more.

Moderator: Thank you. Mr. Doshi. Next, we have Tushar Verma. Sir, please go ahead.

Tushar Verma: Yes. Hi, sir. Very good afternoon. Actually, I have three questions in total. My first question is, what is the current prices of paperboard and unquoted paper as compared to Q4 FY '23? And to average of Q4 FY '23 actually. And my second question is, what is the reason for the sharp increase in finance costs from Q2 to Q4? That is, we can see from INR36 crores to INR63 crores, respectively. And

my last and final question is, why are we not buying back the shares companies and ready so much of cash and share values so low? Thank you, sir. That's all.

K.R. Veerappan: Finance cost, I can say. See, as far as the finance cost is concerned, we have a forex ECB loan of around EUR 85 million. And we do as per the, we need to do a reinstatement of these liabilities. 30th September, the euro rupee was at 80 rupees 11 paise. And 31st March, it has gone up to 89.61. So that's the reason that restatement liability has been booked. It's more of a

book entry. If you see the loan tenure, we have by and large, there's not much of a gain or loss. But yes, period to period based on the accounting entry based on Q2 to Q4, there is a gain. Ashok Gupta: So you have to calculate considering the whatever that we are reported as interest figure versus that whatever that average loan outstanding. So you will get the correct picture of that, what is that average rate of interest, which comes to close to 7.4% or 7.5%.

A.S. Mehta: As I said that the coated paper and the packaging board price drop, I have said. And as I said that the NSR product wise, we don't want to give in the public domain because we don't publish. So this is one part. Any other? What about the future cash? The future cash, I would say that as I already said, whatever cash surplus we are generating, we invested close to INR2,000 crores only last year on the new packaging board, this and also the acquisition of corrugation business. So we have utilized so much of the fund from the company. Now we want to again build the treasury, build the war chest. And in fact, I had given the target that we should have close to INR1,500 crores of the war chest before we do anything. So that's the plan.

Moderator: Thank you, Mr. Verma. Next, we have Sandesh. Sandesh, please go ahead.

Sandesh B: Hello, sir. Hello, everyone. Congratulations on good set of numbers, first of all, for the full year actually. And this is the fruits of seeds, which was actually five years back. So now going ahead, just want to understand, so what would be our roadmap for next five years? Is that what kind of capacity are we trying to achieve by FY '24? Is it going to be a bit like broad-based capacity
JK Paper Limited
May 19, 2023

Page 10 of 18

expansion across our existing portfolio? Are we keen to grow paperboard segment as it is a more structurally broad story? Or is it like any other more product category we like to penetrate like craft paper or back integrate our corrugated packaging operations? Are we looking for any kind of inorganic opportunities at the moment as well?

A.S. Mehta: Okay, good. Thank you very much for complimenting the team for the result. In fact, I would say that one more contributing factor was a very favourable market. And you don't get favourable market all the time. So that's one part. But we do our role, we play our role in much, much better manner. And we will continue to do. As far as the roadmap, your question is concerned, I would say that '23, '24 our effort would be to utilize our packaging board new capacity and also the support to the 100%.

So that we get the incremental, the top means the volume, top line and also the advantage of profitability from a higher capacity utilization. That's one part. Corrugation business, we are still learning. But certainly we would do better on the higher volume utilization and new customer acquisition. So that also adds value for JK paper.

Thereafter, I mean, it's very difficult at this stage, because we are evaluating all the options for a capital allocation. As I said that once we build our war chest, thereafter the capital allocation, it will depend on whether the kraft paper gives me advantage or whether the new acquisition gives me advantage. I mean, that will all depend on the year '23, '24, how it pans down and how the market behave. Then we will take a call.

Sandesh B: So if I just

have to look at the history of JK paper, sir, so at a lower capacity, we have been able to do large capex. And at the current capacity, we have the ability to do even larger capex. So even if you try to build a war chest, you can still very much afford to go for a capex even now. So what are your thoughts on that, sir?

A.S. Mehta: You are absolutely right. But see, I can only tell you that 15 years back, we took a risk and a chance. And you're right at that time our balance sheet size was small, and we took a major capex. But all the time, you don't take such kind of a risk. And you would recall that on a smaller balance sheet, we took a call and expanded and spent INR2,000 crores.

And just after that, for two years, we were in redd. We incurred loss, heavy losses in the year '13- '14 and '14- '15. And that we don't want to repeat. And we don't want to disappoint our investor and all the stakeholders. Now, whatever call we take, it has to be a very judicious call, very balanced call. And so that is what we do, which is sustainable with the strong fundamentals and the financial fundamentals.

Sandesh B: Okay, very much appreciate that, sir. So question number one, technical side, sir. So if we have to have a rough conversion of cost of pulp into paper in U.S., USD per ton basis, assuming our BHKP prices settle around \$500 per ton. So what should be import parity prices of paper and writing in India, if we were to assume the forex rate at INR83 per USD? And if you also include current logistic and existing duty structure, sir?

A.S. Mehta: See, as I said that if the pulp prices remain at \$500, then the prices at that level should be somewhere around \$800 to \$850. And plus some kind of a \$50 clearing, forwarding, other

JK Paper Limited
May 19, 2023

logistics or whatever it is. So \$900 price. So you calculate INR82 rupees, \$900, INR82 rupees, something down what INR74 rupees. So INR74, INR75 per Kg is a decent price, if the pulp prices are \$500.

But please understand, on a long-term basis, pulp price of \$ 500 is not a sustainable remunerative price for the pulp manufacturers. It will be close to \$550 to \$600. And if \$600 is the price, the pulp price \$600, the paper and board prices would be close to \$950 to \$900, \$950, which means INR80 rupees per Kg.

Sandesh B: Okay, great, sir. On a broader sense, sir, we expecting so what will be the status of new education policy, sir? Now, when do we expect it to get implemented? And also for industry, so you can quantify what to what kind of incremental demand it is expected to bring? And you know, and how long do we expect you know, NEPs growth to be you know, be there in the market?

A.S. Mehta: See, the new education policy as far as the part is concerned part is being implemented from the year '23- '24. And so the publication, some publication and printing has already started. And I mean, it started sometime in November, December '22. And this should be over. I mean, it is already over now, because the new session has already been started now and the school then those will open from July some part of the country and some part maybe from 15th of June. So part has already started. But the full implementation our understanding is that it will happen the next education session. So that means the year '23- '24 again will have a good demand of the writing printing paper. But it is very difficult to quantify. I would only say that to what extent it is for the school, to what extent it is for colleges, to what extent it is for the professional book printing, or commercial book printing, I would say that there will be a sizable demand because of the new education policy. Yes.

Sandesh B: Okay. So just one request from our side, sir. So if you can at least publish the presentation every quarter, so we can have access to quarterly operational data. That will be absolutely great, sir.

A.S. Mehta: All right. Thank you.

Moder

ator: Thank you, Sandesh, next we have Mr. S. B. Bhaiya. Sir, please go ahead. Mr. Bhaiya, so there is no response. We will move ahead.

S. B. Bhaiya: Sir, I have been associated with your company for last more than 15 years and I have seen your journey from, I would say, before 2010. So all your expansions actually right from your paper expansion and then paper board expansion, you have done wonderfully well. All your expansions have gone very, very well. So you have been doing many markets leading performance and everywhere actually there is absolutely nothing to talk about.

Of date actually I am seeing a distinct shift in strategy. So from being a paper player, you have suddenly started investing in a major way, paper board before that, you invested in Bangalore plant, I think it was something IT related. So what is the actually way going forward? Are your strategies shifting from paper-to-paper related items or related? So are you shifting the company from paper company to paper related companies? I just wanted to hear your opinion about that.

JK Paper Limited

May 19, 2023

A.S. Mehta: Thank you so much. See, in fact, our core strength is manufacturing and also our core strength is volume manufacturing and also over a period of time we developed our core strength as a marketing also a core strength. So these core strength, I mean, I would say that complement and supplement for a volume production as well as the true marketing. So I would say that we will continue to be a very strong player in the paper industry. There is no doubt about it. So whether it is packaging paper or it is a writing, printing paper, so we are going to remain as a very strong paper player.

S. B. Bhaiya: Sir, do I take it that you did not find sufficient opportunity in the paper sector actually before looking for these corrugated boxes? I am told that right other than what you are doing that is you are already in writing and printing, you are already in paper board, which are major segments, but there are other segments also which are doing very well, and you are not present in those. So what made you actually diversify from paper-to-paper board, sorry, corrugated boxes?

So actually there are reasonable opportunities I thought in paper sector itself like tissue paper is very, very fast growing which you are absolutely not present, and I'm told century and even orient paper is doing very, very well there. So anyway, what are the actually and this is actually your diversification right now is totally unrelated. You do not have any experience in there. So being an investor actually you have got question marks that how well you will be doing in that, but if you actually expand in your paper business at least we have got reasonable degree of security that you will be doing very well in whatever you are doing in the paper sector.

So what made you go out of the paper and invest this heavily in corrugated boxes which I am told that right these are all concentrated by small scale people and low margin items, and you

have to be near to the customer also because of the transportation cost. So you cannot expand operations in one particular place. So is there actually, as an investor we are seeing a distinct shift in this strategy, and I don't know what has made you to think so.

A. S. Mehta: I mean your question is very, very right, but at the same time our thought and our responses also very, very precise, and specific. I can tell you that yes, as I said that we will remain a very strong paper player. There is no doubt about it. See the paper writing and printing paper we are fairly strong, and we have been strong and after Sirpur acquisition because that added close to 1,30,000 ton of writing printing paper. So that is one edition in the paper.

Then we added 1,70,000 ton of a white packaging virgin packaging board machine only last year. So again expanded in paper. So please understand. So now

the white paper we are close to

8 lakh ton capacity which is India's, I mean almost largest paper and packaging board capacity we have today, and we are going to do the de-bottlenecking and all the other stuff what we can do.

At the same time, please understand globally also all the paper players, I mean I am telling you that the corrugation business is a very, very growth-oriented business in time to come and those who enter first they will have the prime mover advantage of consolidation opportunities. See in India it is fragmented but let me tell you that in U.S. the top 5 player of corrugation industry they command 80% market share. In India there may be thousands of players but the size of the JK Paper Limited

May 19, 2023

Page 13 of 18

player, I mean just two acquisitions we became India's number one corrugator. But still number one corrugator has just 4% market share in the corrugation industry.

So this is so much fragmented, but it will provide the huge opportunity in time to come for a consolidation quality product. I mean in fact in India there are 10,000 corrugators in the country, but automatic machines are there only with 200 people. Imagine, now in time to come when you have a quality requirement there will be a huge opportunity for the corrugation player in time to come. This is one part.

But also, we thought that there is a huge synergy for JK Paper in business because the white virgin board what we produce goes to all the FMCG player, all the food player, all the pharmaceutical players. And the same players are also buying the brown boxes. So I have a set of customers who are getting my carton board or my white board as a packaging material and they are going for a brown material to somebody else. So I mean we thought that why don't we become a total packaging material as a supplier to those customers. Because we know those customers, we have to connect with the customer. This is one reason.

The tissue you ask this question in fact we debated for many years and in fact I have been debating this for 10 years internally, and we don't find this is a remunerative product line in the paper industry. Century, Orient they are producing but I don't think that they are making decent money in that product line. I mean reasonable money they must be making but it's not very rewarding paper category. Hope I have answered all of your questions.

Moderator: Mr. Bhaiya, can you please come in the queue, there are a couple of participants, please

SB Bhaiya: Thank you very much.

Moderator: Next we have Mr. Niraj Mansingka. Sir, please go ahead.

Niraj Mansingka: Yes, thank you for the opportunity. I wanted to do a few things. What has been the inflation in the wood prices in last one or two years in a percentage term? Just wanted to know that.

A.S. Mehta: Something around 7% to 12% depending on which market you are buying.

Niraj Mansingka: Okay, which is in fact like an inflation only. It's not as significant....

A.S. Mehta: More than the inflation. The inflation I would consider something around 5% and 5%-odd but the wood price and depending on the different location from where you are buying it was 7% to 12%.

Niraj Mansingka: And do you see further inflation to continue or see the pressure has moderated?

A.S. Mehta: No, I am saying that there will be a further pressure.

Niraj Mansingka: Okay, got it. So in terms of the NSR, I know you don't share the prices, but can you give a broad range of how much the NSR has changed in percentage in last one quarter. I just want the range also, that's okay. And industry would also be doing, industry market prices would also be okay rather than only your prices.

JK Paper Limited

May 19, 2023

Page 14 of 18

A.S. Mehta: As I said that the coated paper prices came down by close to 15% or 20%. Packaging board also dropped by something around 10% to 12%.

Niraj Mansingka: And the writing printing?

A.S. Mehta: Writing printing, there

was no drop.

Niraj Mansingka: Okay, so do you see this because of the demand in the printers or because of the NEP or this is -- what might be the reason of less demands? Fall in...

A.S. Mehta: It was NEP, predominantly, NEP and also now there is again a trend of the physical copies rather than just online reading. The people are interested again reading a physical book. The people are now the school colleges and coaching center, they are again back to the physical rather than just virtual. So that helps.

Niraj Mansingka: Got it, sir. So the other question is on the international prices versus Indian prices. What we have observed is that the India's paper prices, the premium versus the international prices has increased in the last two quarters. Can you comment on that? What is the reason? And do you see this moderation coming on or you see that to stay for some time?

A.S. Mehta: No. Which paper are you comparing international and domestic?

Niraj Mansingka: Uncoated paper. Unquoted? Yes, writing printing.

A.S. Mehta: So uncoated paper prices globally also they were very high. In fact, at six months back, even, or maybe eight, nine months back, the global prices were much higher than the domestic prices even. In fact, our export realization was higher than the domestic realization.

Niraj Mansingka: Can you give a color on the premium or discount of India versus international? That would be useful.

A.S. Mehta: Right now, the international prices are lower. It may be lower by 7% to 10%. At one point in time, it was higher by 8%, 9%. But right now it is lower. And it will get corrected in due course of time.

Niraj Mansingka: And last five, six years, what would be that average? India was a premium or a discount?

A.S. Mehta: I would say that the global prices were lower by 3% to 5% long term average.

Niraj Mansingka: Okay. The global was lower, global prices. India always commuted a premium to international prices generally.

A.S. Mehta: Yes. But as I said that all the time, it will depend on the demand and supply trend of that particular period.

Niraj Mansingka: Okay, got it. That's it.

A.S. Mehta: Immediately, if a new capacity comes in the market, there will be a drop in prices.

JK Paper Limited

May 19, 2023

Page 15 of 18

Niraj Mansingka: So two small questions again. Instead of giving a dividend, why don't you do a buyback? So that it will not only improve the valuations, but also be efficient on the taxation side?

A.S. Mehta: There are pros and cons of both. And there are a set of investors who would say that we are happy with the dividend. And there are a set of investors who would say that we are happy with the buyback.

Niraj Mansingka: So investors would be happy would be not only mostly a mutual fund, which would be having taxation benefit, but all individual investors would be wanting a buyback, right? Because promoter also has an incentive to pay less taxation...

Ashok Gupta: That all depends on which investor wants to tender or wants to do it. So if they want to continue to hold, some investors still want to continue the dividend. So it depends on how the stock in the portfolio. So investor-to-investor differs. So as a rewarding as a policy that board has decided.

Niraj Mansingka: That's a suggestion because it takes care of two things rather than one thing.

A.S. Mehta: All right. The suggestion is noted.

Niraj Mansingka: Yes. And last thing is on the corrugated plant. Can you tell us what is the capacity? And I think you had to also, there was an acquisition cost of 578. And how much do you need to pay more and how much is the potential to add capacity? Can you just share something on this?

A.S. Mehta: I think the capacity of the plant we acquired is what, 2,60,000 tons. And in this industry utilization, the best utilization is considered 70%-plus. Because in the peak time you utilize 100% and the off time you are at 40%-50%. So average utilization 70%-plus is cons

idered very

good utilization. So...

Niraj Mansingka: Have you paid the entire sum or there's something to be paid left?

A.S. Mehta: As I said, then we have declared that we have paid 85%.

K.R. Veerappan: We bought 85%, 15% is still left.

Niraj Mansingka: And how much is the potential to add capacity in those two locations?

A.S. Mehta: See, there will be as I said that these two locations, in one location we are adding capacity. By end of this year itself, there will be some addition. And the other location, we don't have to add.

In fact, we need to acquire customer and utilize the capacity better.

Niraj Mansingka: Okay, so again related, the location that you are adding capacity will take your 260,000 tons

total to how much?

A.S. Mehta: I think it is something around 20,000.

Management: Around 20,000 additions.

JK Paper Limited

May 19, 2023

Page 16 of 18

Niraj Mansingka: And when you're saying you need to acquire customer second location, so then the utilization on the current state would be lower?

A.S. Mehta: Yes, currently it is lower. So if we utilize, if we acquire customer, we can utilize it better.

Niraj Mansingka: And how much is your average utilization for this?

A.S. Mehta: Right now it is 60%. So we want to take it to 70%-plus.

Niraj Mansingka: Got it. So but that's, that is hardly any left. So do you also plan further expansion, or do you see, because this is a very large industry.

A.S. Mehta: It is a huge, huge capacity is left out because 10% or 15% additional utilization means it is something around 30,000 tons to 45,000 tons, which is sizable.

Niraj Mansingka: Okay. And what is the average utilization in industry for this corrugated paper?

A.S. Mehta: I think it would be close to 60%, 65% average. But the best player would be doing 70%, 75%.

Niraj Mansingka: No, I'm talking about average NSR for this on industry.

A.S. Mehta: NSR you asked. I have no idea. Because as I said that we are still learning this trade.

K.R. Veerappan: NSR is not a relevant thing because the paper price is all it's passed on. So that based on the paper price fluctuation, NSR also will fluctuate. So that may not be a right to see.

Niraj Mansingka: Got it. Thank you from our side.

Moderator: Should we take last participant Rajesh? He's in the queue from a long time.

Management: Okay.

Moderator: Yes. Rajesh, please go ahead.

Rajesh: Yes. Hello, sir. How are you?

A.S. Mehta: Good. Thank you.

Rajesh: I had just a couple of questions. When you look at the Q4 volumes, it's just 191 KT. Is it reasonable to assume that because of the prices, price reduction, we are not producing up to full capacity now in at least coated paper and even the uncoated paper volumes are lower Y-o-Y basis? So Y-o-Y, in fact, the volumes are slightly lower. And second related question is that for the coming year, will we then see a lower utilization as it like we were talking about 800 KT in all? I'm talking about standalone business. Will we again see 750 KT, 770 KT given the price correction?

A.S. Mehta: What is that? Which volume drop as far as we are concerned? We are seeing a presentation.

Coming year also the volume is going to be higher. It can't be lower.

JK Paper Limited

May 19, 2023

Page 17 of 18

Ashok Gupta: Rajesh, you are seeing the presentation uploaded.

Rajesh: Thank you. Q4 compared to Q4 is just 191, the same.

Ashok Gupta: Yes, the 191, 191 it is same. The break-even, it is slight drop compared to last previous quarter in uncoated. But if you see that overall 12-month figure on the uncoated segment, it is again 389, it's 436. It's a 12% growth.

Rajesh: So should we take this year's volume is also similar, 770 or something like that?

A.S. Mehta: It should be better than this.

Rajesh: Okay, even after the price correction, you are saying the volume will be better?

A.S. Mehta: Yes.

Rajesh: And secondly, sir, my question is, do we have an option of using more imported pulp now that

he pulp prices are lower instead of buying more wood in the market? In which case can we get our RM cost more?

A.S. Mehta: Always, always we keep some kind of a ready reckoner on the table that at what price it makes sense for me to use imported pulp and at what price it makes sense for me to produce the local pulp. So it still makes a case for producing the pulp out of wood here.

Rajesh: Okay, that's fair. And my last question is that we've seen the impact of pulp prices has not yet been felt in writing and printing, but will we see that impact in the coming quarter or the next two quarters? Because you indicated a price of a sustainable price of 80. But if you look at it, I'm not asking you the exact realization, but it will still be somewhere around 84%, 85% right now. So there is still scope for a downside to about INR75, after which it will come back up again. Is that the way the trend is likely to play out? What do you think, your opinion on that?

A.S. Mehta: As I said that the pulp prices globally on a long run, it should be close to \$600. So if it is \$600,

the global and the prices in the band of \$900 to \$950. And when it is \$950, that means the NSR should be close to, no, 950, it should be close to 80.

Rajesh: But it's still higher than INR80 as of, I mean, my assumption.

A.S. Mehta: It is higher than INR80 per Kg, it may be INR2, INR3-plus or minus depending on the category and the demanding on other thing. But this should be, and there would be a play of demand supply. If there is a good demand, the prices will remain at a higher level. If the demand is lower, let's say after the year '23- '24, when the new education policy implementation has already happened, and there is a plateau of demand, the price may come down also.

Rajesh: Okay, right. So if I am permitted to ask one last question, what is the sustainable margin that you can see in this industry? Because we've seen like in rupees per kg margins go from INR10 to INR30 in a very large range over the last few years. What is the sustainable rupees per kg margin at an EBITDA level that you can build in on a longer term?

JK Paper Limited

May 19, 2023

Page 18 of 18

A.S. Mehta: As I said that we don't calculate in rupee per kg, we calculate as a percentage of net sales. And I would say that anywhere between 20% to 25% is sustainable decent margin for the industry, where your ROCE would be healthy.

Rajesh: So 20%, you can say it will not break down below 20% significantly, if at all?

A.S. Mehta: It should not. But there has been a time where it was lower than 20%.

Rajesh: Yes, exactly. And so we had also seen in the IPMA data, I mean, post-COVID, there are a lot of small-scale guys that actually gone out of business. And the export-import ratio of India was for two years, '21, '21- '22 had turned against, in favour of exports. But if we look at '22- '23, imports have surged again, is that a cause for worry?

A.S. Mehta: See, the imports surged because there was a higher demand in the domestic market. So I mean, the export came down. And the import was higher as far as the coated paper is concerned, the import grew. And also the other paper category, but it is not very sizable. I would say that still India will remain a net exporting country in time to come.

Rajesh: Thank you so much.

A.S. Mehta: But it will all depend on the kraft paper export to China. If the export to China of kraft paper comes down, then there will be again a distortion.

Rajesh: Right. Thank you so much. Thank you so much.

A.S. Mehta: Thank you.

Ashok Gupta: Thank you, Archana ji....

Moderator: Should we conclude the call?

Ashok Gupta: Yes.

Moderator: Any final comments, sir? Mehta sir, any final words?

A.S. Mehta: Thank you very much. As I said that the year has been a good year, but the year '23- '24 is likely to be volatile. And we need to be prepared for that volatility. But at the same time, because the JK Paper has its own strength, so

we should do better.

Moderator: Thank you so much, sir, and all the best.

Management: Thank you. Thank you all.

Call: May 2024

JKP/SH/2024 27th May 2024
Electronic Filing

Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001

Scrip Code: 532162 National Stock Exchange of India Ltd.
"Exchange Plaza" Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

Symbol: JKPAPER
Series : EQ
Dear Sir/Madam,

Re: Transcript of Analyst/Investor call held on 21st May 2024

In continuation of our letter dt. 21st May 2024, please find enclosed herewith Transcript of Analyst/Investor Conference Call held on 21st May 2024, pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The said Transcript is also available on the website of the Company www.jkpaper.com .

Submitted for your kind reference and records.

Thanking you,

Yours faithfully
For JK Paper Limited

(Deepak Gupta)
Company Secretary

Encl: a/a

Page 1 of 16

Transcript of Analyst/Investors Conference Call on Q4
FY2024 Financial Results of JK Paper Ltd. hosted by IDBI
Capital Markets and Securities Ltd.
May 21, 2024

MANAGEMENT : MR. A.S. MEHTA – PRESIDENT AND DIRECTOR , JK
PAPER LIMITED
MR. KR VEERAPPAN – CFO, JK PAPER LIMITED

MODERATOR : MS. ARCHANA GUDE – IDBI CAPITAL MARKETS AND SECURITIES LIMITED

JK Paper Limited
May 21, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day and welcome to JK Paper Limited Q4 FY24 Conference Call hosted by IDBI Capital Markets and Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the initial remarks concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Archana Gude from IDBI Capital Markets and Securities Limited. Thank you and over to you.

Archana Gude: Good evening everyone. On behalf of IDBI Capital Markets and Securities Limited, I would like to welcome you all to the Q4 FY24 Post Results Conference Call of JK Paper Limited. From the management we have with us today Shri. A. S. Mehta - President and Director, Shri. KR Veerappan - CFO along with the other team members. We will begin the call with a brief discussion from the management and then we can open the floor for Q&A session. Thank you and over to you, Mehtaji.

A.S. Mehta: Good afternoon everybody and thank you for joining this call today for the fourth quarter as well as the Annual Consolidated Results of JK Paper Limited.

In fact, the Q4 has been a difficult quarter, I must say the year '23-24 first half was relatively better year from a pricing point of view and also the cost point of view, but thereafter we have seen a sharp drop in the prices of Packaging Board as well as the Maplitho Paper and the Coated Paper. Of course, there was a slight drop in the Copier Paper as well, but it was not that sharp.

At the same time, there was some commodity price correction also including the pulp and coal and that has given some benefit, but the wood cost which is a basic raw material for integrated pulp manufacturer remain very high in fact, it has gone up sharply by close to 30%-35%, so that has impacted the result. But somehow I would say that the major reason for the drop in profitability, which was expected I must say, is primarily because of the lower prices despite the higher input cost. If the prices would have been at the level of '22-23 then we could have managed with a decent profitability despite the higher raw material cost. So, at the 26%-27% EBITDA margin also I would say that this is better than the long-term average EBITDA of the paper industry and our own long-term average.

'22-23 was the outlier year, and this was bound to come down and I hope that even the '23-24 which is 26% EBITDA which gives us a decent return on investment is still satisfaction for all of us. The year gone by is over but the coming year is likely to be tougher I would say that the competition and also the dumping of paper from the ASEAN countries will pose a challenge in time to come.

JK Paper Limited
May 21, 2024

Page 3 of 16

With this I again welcome all of you people. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: I have few questions. First of all, thanks for organizing this call after some time, so my first question was, sir, could we have the EBITDA of Sirpur and the packaging company separately for the quarter and the year? My next question was that we have seen that the price correction has taken place in April in most ways of paper, so does that counter the increase in the RM cost, especially wood cost or will we still see some kind of gap in that? That was my second question.

A.S. Mehta: Any other question from your side?

Rajesh Majumdar: My last question is that we have seen some improvement in pulp prices and some consolidation in the global pulp and paper industry with Suzano making a takeover bid for International

Paper,

so the outlook on pulp prices and whereas the prices will form to that extent because of the international consolidation? These are 3 questions, sir.

A.S. Mehta: See, as far as the Sirpur EBITDA is concerned, I would say that the Sirpur EBITDA is in the range of somewhere around 30%, but when you talk about the Q3 and Q4, it sharply dropped because of the price drop, so year as a whole is around 30%, but that includes the state incentive accounted for on accrual basis, which we did not receive during this year. So, if I exclude that incentive part then the EBITDA would be close to 22%-23% this is on this part.

Rajesh Majumdar: For FY24, it is 22%-23%?

A.S. Mehta: No, 23-24 I am saying and when you are talking about the packaging company, see in fact the

corrugation industry has a very bad time the year '23-24 in the normal course, their EBITDA should be around 12% to 14%, but it was a bad year and it was around 10%. As far as the NSR, your number two question on the wood and the cost and the NSR, I would say that the NSR in the second-half there was a severe drop in coated paper, packaging board and the Maplitho prices and the wood cost has gone up by 30% as I said in my opening remarks. As far as the pulp prices in international scenario is concerned, the pulp prices were pretty stable, but in the last 2 months or 3 months and particularly last 2 months, it has again started moving upward very sharply and right now it is in the band of \$700 to \$750, which is much higher. See the international scenario, I mean there are 2 pulp mills coming up and with this new pulp mill demand supply equation globally would be comfortable and in long run the pulp prices should remain in the band of \$550 (+/-25).

Rajesh Majumdar: And sir the NSR increase we saw in April, does that cover for our wood inflation?
JK Paper Limited
May 21, 2024

Page 4 of 16

A.S. Mehta: No, see the NSR increase in April this year increase is just in a packaging board one particular segment. There is nothing as a major increase.

Rajesh Majumdar: But then we can expect to see more price increases in the future?

A.S. Mehta: Let us see the demand supply scenario in time to come.

Moderator: Thank you. We will take our next question from the line of Gaurav from Capital Farming. Please go ahead.

Gaurav: I have a couple of questions. So, first of all, a bookkeeping question like for the 15% that we have announced to acquire implementing from HPPL and SPPL, so acquisition cost is coming around on a consolidated basis Rs. 104 crores or Rs. 105 crores, so what was the cost of remaining 85% that we acquired I think a year back or almost 1.5 year back if you can share that number please? That was the first question and the second question is related to this only like we have seen that on a short period of even I think less than 2 years we have acquired 3 companies HPPL, SPPL and then MANIPAL Utility Packaging Solution also and if I am not wrong, we were in process of having our own plant in Ludhiana in this corrugated line of business only, so when you look at the business to acquire it, at what parameters you look at it, whether from a price to earning point of view, price to sales point of view or what are the parameters and if whatever parameter you look at it, what are the numbers at which you are comfortable when you make a call, yes we need to purchase that business? And the third question with respect to the same segment only that Ludhiana plant is that Commissioned if yes, production has started and if yes, then what is the sales number or the profitability number for FY2024 for that plant, because if I am not wrong, that plant is hosted in or is held in our 100% owned subsidiary if I am not wrong, these are my 3 questions please. Thanks.

A.S. Mehta: See, your first question on the 15% and 85% when we acquired 85%, it was close to Rs. 590 crores, that was the consideration and the 15% when we acquired b

alance equity, it was rightly

you yourself said Rs. 104 crores, so this is the consideration part when we acquired these 3 companies, in fact the 2 companies were together Horizon and Securipax and MANIPAL happened later. See the criteria is very clear that which geography it is favorable for the industry, so we see a customer profile and the demand pockets when we acquire a target, so this is 1 criteria and also we see the competitive intensity in that geographic territory. These are the consideration and also the quality of asset has to be better because what we acquire is the customer and we are not to on the asset part or the net asset value because the asset we can create, but the customer acquisition takes time in this industry, so we see the quality of customer are catered by that company and then we acquire. So, it is basically a customer profile and quality of assets these are the criteria at the same time the basic selection criteria for the demand center or a consumption center is the criteria.

JK Paper Limited
May 21, 2024

Page 5 of 16

Gaurav: If you don't mind, like for example, if we take all the 3 companies on a consolidated basis, so if I am not wrong, then we have spent almost Rs. 800 crores in acquiring all these 3 companies, so over a period of let us say next 2 years - 3 years, what would be our expectation in terms of return on invested capital? Do you strategically mentioned that you are acquiring the customer, you are looking for a more better wallet share or maybe the geographical location of the plant or how strategically fit that company is into it? At the end of the day, it all boils down the return on investment that we as a company are making, so almost Rs. 800 crores invested in equity in acquiring these 3 companies, so what would be our expectation in terms of return on invested capital?

A.S. Mehta: Whenever we do any project capital investment or acquisition, our basic criteria is the return on

investment, something around 4% to 5% over the cost of capital that is our criteria and in long run, it should be better than that. So, at this point of time, our cost of capital is something around 9 point odd percent post tax WACC, so 9% or 10% WACC and 4% over that, so in long run we would expect something around minimum 14% to 15% return on investment that is our criteria of any project or any acquisition, so this is one. The other question was on the strategic fit, as I said that this is the most growing sector and in time to come, this is likely to grow healthy. So, and of course we entered into this business, just not for acquiring these 2 companies or 3 companies or some location, we will have to grow in this industry and continuously expand and remain as India's top corrugator company this is our strategy. Ludhiana plant we commissioned last year to be very precise in sometime in August 23 and in this industry it takes time because the customer acquisition is a long process because the plant is audited by them then the plant is approved, then the sample is approved it takes a lot of time, so it will take time. Hopefully, this year our target is to utilize the capacity more and by end of the year we should be.

Moderator: Thank you. We will take our next question from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Firstly, my question was on the import scenario when you mentioned that the import intensity is high today, I just wanted to check on the difference between the landed cost and on NSR for different paper segment? And also given the rise in pulp prices in your opinion, do you think the import intensity should reduce going forward?

A.S. Mehta: Very good question. I must say that when the pulp prices go up certainly the import intensity should come down logically because if the pulp prices let say the pulp price is \$750, then the natural and fundamentally on a financial basis the paper prices should not

be lower than \$950

because the \$200 is considered to be the conversion cost and other element of the pulp vis-à-vis paper, but the different geographic territory in different companies, they have different compulsions and they start dumping. So, I have seen the time where the pulp prices and the paper prices were the same means the people were selling paper at the pulp prices that is also desperation on their part. So, anything is possible, but in a normal course in the ordinary course

JK Paper Limited

May 21, 2024

Page 6 of 16

of business, with the fundamental of the cost and structure, if the pulp prices remains \$750 or \$800, paper prices should always be \$950 or \$1,000 and if the pulp prices remain at that level and the paper prices behave in a rational manner, then I find no set of import you have rightly said this, but there are countries they don't follow rational and the logical risk cost comparison and since they have the surplus capacities available, so they just dump it, so that creates a problem.

Deepak Lalwani: That was quite useful, sir. If you can explain, elaborate on which countries we are getting these imports from? And their demand scenario if you have a judgment on if you can just give us some sense on that?

A.S. Mehta: I would say that we are more worried on the import coming from the Indonesia because the Indonesia is a part of ASEAN bloc.

Deepak Lalwani: Yes, sir you were mentioning that Indonesia is causing the problem in terms of dumping, so if you could continue from there?

A.S. Mehta: Yes, this is what I said Lalwaniji that the Indonesia because they have the surplus capacities available and also there is a FTA between ASEAN bloc where Indonesia is a member of that block and also on top of it, they had the long term forest concession given by the Government of Indonesia where their raw material cost is lower compared to our raw material cost today. In a normal course, our raw material cost should also come down, but I mean currently it is much higher and hopefully next one more year it will remain higher raw material cost because of the wood availability. So, more worrisome is import from Indonesia, China of course there is an import duty in some product category China also I mean because they have the surplus capacities available and there is an antidumping or a countervailing duty imposed by or the other barriers imposed by US, so they find the alternate windows or the markets where India get a softer target for them. So, that also some product category can be dumped from China.

Deepak Lalwani: Sir my second question was on your balance sheet, so today when we are at a comfortable position in terms of debt, our thinking on further expansion, whether Brownfield or Greenfield, if you can give some sense there? Or we should look at continuing to take further cost measures like how we did the mechanical pulp expansion, which is going to come in next year, so how are we thinking about using the cash on your own whether to increase volumes or to reduce cost initiatives?

A.S. Mehta: See, we are very clear on this part that a small element of borrowing or the loan should always continue to remain on the balance sheet. And of course we are comfortable, but at the same time, after the BCTMP pulp mill which will happen next year, so that should give advantage of the input cost reduction as well as the stability of the supplies of our mechanical pulp mill for our

board production. At the same time when there is appropriate time, as I said that we will further
JK Paper Limited
May 21, 2024

Page 7 of 16

expand our footprints in the packaging industry means the corrugation and at an appropriate time, if there is a I would say that good demand supply mismatch of packaging board we will further expand our capacity and also some debottlenecking and balancing will continue to happen.

Deepak Lalwani: And what would be the cost savings from this mecha

nical pulp CAPEX that we are putting in
from next year?

A.S. Mehta: See the CAPEX, what we will be doing it should give a return on investment as I said there is something around 15%.

Moderator: Thank you. We will take our next question from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Pujan Shah: Just wanted to know on the FTA side as we have like there are very recent news article in saying because of the dumping by the ASEAN Countries the government was going to take a regulatory step, so just wanted to know is there any update or like is there any decision which is making in our favor?

A.S. Mehta: There are announcements or the communication from the government side, but nothing has happened. And I would say that the review was due because this was effective in 2014 and 2019 review was due, it was not reviewed because those countries were not interested in review because they are benefited. The Government of India is trying to have the review of the FTA, but this is a very cumbersome process because it has to be mutually acceptable review by both the countries because these are the sovereign agreements, so those can't be reviewed arbitrarily or severally by one particular country, so it may take some time. The government has intent to take care of the domestic industry, but nothing has been done yet. So, in fact on the packaging board, we have filed the antidumping petition against Indonesia, China and Chile, hopefully because now the government is active and I would say supportive, hopefully this must expedite the antidumping process.

Pujan Shah: Sir, much insightful. The second question would be on the overall scheme of things is like on the broader picture, if we look into it keeping the current demand scenario, so what is your outlook on at what point of time or like what time it will take to satisfy this oversupply by the other countries or like we will be stabilising and the import substitution like the export intensity would be low, so what time it would take in the next few years?

A.S. Mehta: See, it is very difficult because that entirely depend on the global prices elsewhere, because like the companies in Indonesia or China, they have no love and affection for the India, they have no love and affection for the customer in India they are only concerned for their own profitability,

JK Paper Limited
May 21, 2024

Page 8 of 16

so if they get a windows or outlet in the other countries like Europe or America, and if they get a better price there, they will vacate the market from India.

Pujan Shah: So, is that not a concern about like they are being imposing like let us suppose US or Europe has been imposing any duty that has been affecting to us or like the demand scenario on the global like Europe, USA has been sluggish, that is why it has been impacted to us?

A.S. Mehta: See one is the demand scenario I mean that is also impacting because the lower demand in those countries means the lower export from China to those countries, so they have a surplus available for dumping to India and other market this is 1 scenario you are right. But at the same time, if the Western world, they impose duty as they have recently done so, that also caused the additional dumping from these countries to India.

Moderator: Thank you. We will take our next question from the line of Amit Doshi from Care PMS. Please go ahead.

Amit Doshi: Sir, do you think this margin of last quarter can be considered as now a base case considering the higher raw material cost as well as the lower NSR which has been there now for couple of quarters or do you think there is still some more pain to see?

A.S. Mehta: Any quarter is a unique quarter and can't guarantee that this quarter will remain the quarter thereafter because there are so many variables, the global pulp scenario resulting into the global different price trend, the demand and supply scenario globally and demand and

supply scenario

locally because now we are living in a connected world where it is so difficult to project which variable is going to impact your market, so still I would say that this is one quarter where we have seen this I personally see that the raw material cost should remain now at this point, I mean,

whatever is the raw material cost today will remain more or less maybe 5% here or there. The only question mark is on the price scenario, so what kind of a dumping, what kind of a global pulp and paper prices behave will define the NSR in the domestic market and that will define the margin.

Amit Doshi: And this is antidumping duty petition that you have filed by when do you expect any response either positive or negative whatever the case may be, but by when generally those reply come?

A.S. Mehta: It is a million dollar question and I must say that many a times the government and the Minister they say that we will be very fast, we can decide in a month time, but my practical experience that it takes much longer time, so let us see how fast they decide on this matter.

Amit Doshi: So, in one of the recent TV interviews, you did mention about the paper industry likely to go in a single digit and the packaging in probably the double digit route trajectory as far as JK paper is concerned, what do you think our company will grow at especially considering like we probably likely to be a net debt free probably by H1 of this year considering we have around Rs.

JK Paper Limited

May 21, 2024

Page 9 of 16

1,200 crores plus cash flow almost probably hopefully even in next year and you did indicate your plans about deploying any additional CAPEX towards either the corrugated segment or the packaging board segment, so in that scenario, what would be JK Paper growth trajectory?

A.S. Mehta: See, we are very clear on this part that the industry, I said there is a single digit growth, but I didn't say about JK Paper growth and the JK Paper growth has to be a double digit and double digit also plus double digit.

Amit Doshi: So, you mean like 18%-20% plus?

A.S. Mehta: I am not saying anything, but I am saying that double digit plus side.

Amit Doshi: And sir, can you share anything on this corrugated because this recent presentation also does not cover any our corrugated businesses despite that has been there now under our subsidiaries or this thing, so can you share in terms of the capacity utilization? And also you mentioned that demand was slightly bad in the last year, looking at FMCG and Pharma, so right now what is the situation and our capacity utilization both if you can answer on the call?

A.S. Mehta: See the corrugation industry ideally the best capacity utilization is considered somewhere around 70% to 75% that is the best utilization considered by this industry because the plants are set up to cater the peak requirement of any consumer. So, let us say in the summer season for a month, there may be a huge demand by the FMCG company and so that time you will have to cater them, but throughout the year that utilization may not remain. So, on a yearly basis utilization of 70% plus is considered to be very good or as good as 100% this is an industry practice. Right now, our capacity utilization is close to 55%-60% month different month different period, but on an annual basis, our utilization is close to 55%-60%.

Moderator: Thank you. We will take our next question from the line of Hemant from Seven Islands PMS. Please go ahead.

Hemant: This is as insightful as always this call has been. I just have one bookkeeping question, sir, we have invested some Rs. 60 odd crores through our subsidiary Sirpur Paper in Bengal and Assam, just wanted to know the rationale if this since the business is anyway having 20% ROCE plus and what would be the rationale to invest Rs. 60 crores just because the surplus funds are available or do you expect more?

A.S. Mehta: No, it is just a treasury in

vestment, so the surplus funds were deployed in the mutual fund and the treasury where you get a return of something around about 7%-8%, so we felt that it may give a better return, so we invested and it was from the open market.

Moderator: Thank you. We will take our next question from the line of Vipul Kumar Anupchand Shah from Sumangal Investment. Please go ahead.

JK Paper Limited

May 21, 2024

Page 10 of 16

Vipul K. Shah: So, what percentage of pulp our annual pulp requirement we manufacture in house, sir?

A.S. Mehta: The chemical pulp what we require for our paper and board manufacturing we are 100% integrated, we don't import. We only import the mechanical pulp which is required for packaging board.

Vipul K. Shah: So, what is the difference between chemical pulp and mechanical pulp, sir?

A.S. Mehta: See the mechanical pulp is a different pulp which has a higher bulk, the whole manufacturing process is different and I mean, how do I explain to you because it is a technical question the manufacturing is mechanical whereas the chemical pulp is cooked chemically these are the two basic difference between the chemical pulp and the mechanical pulp.

Vipul K. Shah: So, what percentage of our mechanical pulp requirement we need by imports?

A.S. Mehta: See right now, 100% mechanical pulp is imported and once the capacity is in place next year

fiscal year it should be in place, so close to 70% of our mechanical pulp will be integrated and only 30%-35% we will import thereafter and that would also be the softwood. In India it is only the hardwood mechanical pulp we will be producing in this pulp mill because in India softwood is just not available.

Vipul K. Shah: So, that will happen in next Financial Year '25-26?

A.S. Mehta: Yes.

Vipul K. Shah: Towards the second half or first half, sir? And what type of cost saving per ton we will get by this 70% ?

A.S. Mehta: Let us see the cost saving when you calculate you calculate based on the market price because your cost may be at level based on the wood cost and other scenario, but at that time what is going to be the market price of the mechanical pulp that will define the sale, so we always calculate that it should give us a saving of \$100 to \$150 per ton of pulp, but it all depends on the price scenario at that point of time.

Vipul K. Shah: So, all things equal, it gives the advantage of around \$100 to \$150 per ton, right sir?

A.S. Mehta: Of course.

Vipul K. Shah: So, lastly, you said pulp prices are around \$700, \$750 per ton, so can you comment on absolute price levels for each of our products like copier paper and this packaging board, what type of NSR we are getting as on today?

JK Paper Limited

May 21, 2024

Page 11 of 16

A.S. Mehta: The pulp prices what I said was the chemical pulp, but mechanical pulp prices are right now also \$570 less than \$600 this is the global pulp price today. When we talk about the NSR of the different product category, different variety, different SKU's, so they are all different and we normally don't disclose these things.

Vipul K. Shah: For competitive reasons?

A.S. Mehta: Yes.

Moderator: Thank you. We will take our next question from the line of Kunal Tokas from Fair Value Capital. Please go ahead.

Kunal Tokas: Just a question about the import situation I know you have talked about it already, but my view is that might it be that the harmful import situation that the industry is facing right now is not because of dumping from the other countries, but because India is one of the largest growing paper economies as well and all of the players in India are making very good returns on capital even with the falling prices, so might it be that if the lower costs of players like say in Indonesia with their lower raw material costs, India is very attractive for them and they are not losing any money not dumping, but they are making money in India? So, it can be a long-term strategic thing

instead of a short-term dumping undertaken by them?

A.S. Mehta: Please understand that when we are talking about the dumping they are not selling the board and the paper at that price in their own country, so when they are not selling the product at that price in their own country that means it is dumping. See what is a dumping called for when you dump the product cheaper than the selling prices in your own country there is a dumping, so they are dumping. Their raw material cost is lower because they have their own forest. I don't have a forest because as per the Forest Conservation Act in India, the forest is not given to private sector unless there is an amendment in the Forest Conservation Act, so the forest is not given to the private player. So, we do a farm forestry, and the farm forestry has to compete with the agricultural and cash crops. Whereas in their case, they have hundreds and thousands of hectares of forests available to them and they are able to extract wood from their own forests, so that advantage will always remain.

Kunal Tokas: And that advantage can only be offered by an import duty, is that what you are saying? Otherwise, there will always be

A.S. Mehta: That is what we submit to the government all the time that there is no level playing field because you have signed an FTA with the country where they have the advantage, should not have signed, but anyway, now this FTA signing is a fait accompli for the country. So, when we are impacted only because of the government action of FTA, so now the protection should also be by a government action which is the antidumping duty. Like the US, they impose antidumping duty

JK Paper Limited

May 21, 2024

Page 12 of 16

against Indonesia only because there is a forest concession given to the Indonesia. Any business intervention because of the government action has to be saved also by government intervention.

Kunal Tokas: Related to this, are you seeing any consolidation happening in the domestic industry because of the threats from imports?

A.S. Mehta: Threat from imports basis, I would say that these are all short term and medium terms and short

term and medium term they don't decide on the consolidation immediately because the consolidation will be based on the criteria by acquirer, depending on the valuation perceived by the acquirer and also the valuation, I mean perceived by a seller, I mean there will be many consideration not just a dumping will become the factor for the consolidation.

Kunal Tokas: Maybe not M&A, but exits out of the industry, smaller mills closing down?

A.S. Mehta: See the smaller mill closing down may not be just because of the dumping. Their closure maybe because of their own inefficiencies, their own wrong management decisions I mean their capacity creation without understanding the market, those may be the factor for closure, not the dumping.

Moderator: Thank you. We will take our next question from the line of Siddharth Shah, an Individual Investor. Please go ahead.

Siddharth Shah: I just wanted to ask about the future growth, so I think you mentioned that you were focused more on the corrugation segment but given our new packaging board plant were utilized in a year and there are very few players that can put up a plant that cost Rs. 2,000 crores why are we not focused on this segment more?

A.S. Mehta: No, we are very focused on this segment. I must give you the assurance that we are very focused on the packaging boards as well. See the machine which we set up in FY22, it is just 2 years now and such a mega investment we want to utilize it fully say right now we have achieved 100% of the installed capacity, but we are doing debottlenecking of the same machine and hopefully we should be able to increase production by close to 10% to 15% from the same machine this is 1. Thereafter we will have to see the demand supply scenario in the country domestically without factoring

the dumping or import or other thing and hopefully in next 1 year

or 2 years when the market is again the favorable, we will be very open for this.

Siddharth Shah: I just wanted to ask the second one. On the import scenario for VFB so isn't this a product that your customer, the converter or the end consumer has to kind of approve and check the quality of so I was under the assumption that VFB imports would be very tough because of the requirement of the supply chain quality by the end consumer, but it seems like ...?

JK Paper Limited

May 21, 2024

Page 13 of 16

A.S. Mehta: Of course, you are absolutely right that it takes time, but the only thing is that 15% to 20% of the packaging board of what you said is also sold in off the shelf and that is where it goes. I agree with you that the bigger player or farmer or those people, I mean they will not just accept any imported board material for their packing of course they will not, but still 15% to 20% demand in the open market it is not based on the packaging board approved material. Like any of the apparel industry, any I mean the smaller one all these the cosmetics or the jewelry or the wedding cards, there is no approval of a product. I mean, these are smaller players they will just go to a converter and ask for the box, or a carton and they will buy it.

Siddharth Shah: So, what proportion of our sales would be to the open market, if any for our VFB?

A.S. Mehta: I would say that industry per se, it should be 15% to 20%, not more than that.

Siddharth Shah: But are we in line with the industry then broadly?

A.S. Mehta: More or less. Yes, we will have to.

Moderator: Thank you. We will take our next question from the line of Naysar Parikh from Native Capital. Please go ahead.

Naysar Parikh: On the corrugated box side, can you just do the market I think last time also we talked about this, but the market is very fragmented and obviously there is very limited pricing power because the unorganized market is very high, so how should we think about pricing and especially margins in this segment going forward?

A.S. Mehta: See you are absolutely right that the industry is fragmented and as India's number one corrugator also our market share would not be more than 3% to 4%, but at the same time, the pricing power in some cases it is there because you are fully compliant on many legislations, many pollution or the control things, many sustainability regulation, many safety regulation, so when you are compliant, so for some customers the companies like very organized companies like JK or Horizon I mean our subsidiary are the need and they are willing to pay a price.

Naysar Parikh: And what would be the pricing on a per Kg basis? And how should we look at EBITDA margins?

A.S. Mehta: See it depends on the kraft paper prices strictly. What kind of a kraft paper price is that will define the corrugated box price.

Naysar Parikh: So, what is your conversion generally how much? What rupee per Kg?

A.S. Mehta: It may be Rs. 8 to Rs. 10, Rs. 7 or it may be even Rs. 20 depending on what kind of a box or which specification box is needed because there are some boxes they need much of a manual

JK Paper Limited

May 21, 2024

Page 14 of 16

and a specialized skills work thereafter. So, it depends, but in a normal box it may be Rs. 7 to Rs. 10 conversion cost.

Moderator: Thank you. We will take our next question from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Viraj Mahadevia: To the earlier participants' question regarding your raw material pricing coming down next year in FY26 by \$150 a ton, why is that so? Is it because your plantations mature and then you will have more in-house supply?

A.S. Mehta: \$150 I did not say reduction what I said was the \$150 saving on our own pulp vis-à-vis market pulp that was the thing I said.

Viraj Mahadevia: Why would you do that?

A.S. Mehta: I said that the mechanical pul

p when we produce our own pulp and if we don't produce, then we will have to buy from the market. So, on an average the saving is considered \$100 per ton to \$150 per ton if we produce our own pulp, it has no factor of cost measure.

Viraj Mahadevia: Are you producing your own pulps next year?

A.S. Mehta: Yes, next year we will have our own mechanical pulp from our new pulp mill we are setting up.

Viraj Mahadevia: And my second question, given that now you are near under one times or around one times of net debt to EBITDA and you are generating a Rs. 1,000 plus crores of cash flow even in a challenging year, is there a likelihood that you will pay out additional dividends or take corporate actions such as buyback because your share price continues to be undervalued?

A.S. Mehta: See the net free cash flow Rs. 1,000 crores is not the right I don't think we generate free cash flow of Rs. 1,000 crores. Our free cash flow at this performance level would be close to Rs. 500 crores because when you have this kind of a profitability Rs. 400 crores, Rs. 350 crores or Rs. 400 crores is the repayment part, then we have Rs. 135 crores to Rs. 140 crores of a dividend. Then we have normal CAPEX of Rs. 100 crores to Rs. 150 crores as maintenance CAPEX, so when you deduct all those things....

Viraj Mahadevia: Your consol cash flow for FY24, you have done Rs. 1,375 crores of operating cash flow in crores and you have Rs. 240 crores of PP&E purchase, which means you have got about Rs. 1,100 crores of free cash flow, which is OCF minus CAPEX this is after interest cost working capital changes and taxes.

A.S. Mehta: And what about the repayment? We did Rs. 600 crore repayment?

JK Paper Limited

May 21, 2024

Page 15 of 16

Viraj Mahadevia: That is from financing, sir. I am talking about purely free cash flow.

A.S. Mehta: This is what I am saying that free cash flow, when we define, we define the net cash accrual in our treasury or a Kitty that is the free cash flow and that is normally something around Rs. 500 crores.

Viraj Mahadevia: So, you will prioritize that for debt repayment then?

A.S. Mehta: No debt repayment as I said that a decent that will always remain on the balance sheet. There is no point in prepaying everything. So, whatever the free cash flow will be there in the company that will become a war chest for all our project or acquisition or expansion, no question of converting the company into zero debt company.

Viraj Mahadevia: So, then will you prioritize some of this war chest for buybacks and or additional dividends?

A.S. Mehta: That I can't comment at this point.

Moderator: Thank you. We will take a last question from the line of Bhavesh Patel from Patel Investments. Please go ahead.

Bhavesh Patel: Just couple of strategic questions in terms of do we see any further inorganic plants like we did in terms of recent acquisitions?

A.S. Mehta: I would say that we will always be open and that will be always our aspiration to acquire some more and that is how we can expand faster, but again it has to be at a right valuation because at any valuation we are not interested in acquiring because we are very clear that the acquisition has to be value accretive and it should be a good target acquisition, which is a good customer base company, quality of asset is good, the geographic territory has to be of our choice. So, once these criteria any target meet, we are open for acquisition.

Bhavesh Patel: Thank you for that and in terms of again operational efficiency, would we maintain our internal targets of having ROE more than 20% or so just to ensure that we would drive it much better as an entire organization?

A.S. Mehta: See the operational efficiency it will remain a focus area all the time I mean irrespective that we are the least cost manufacturer, but we continue to be the least cost manufacturer and that can happen only when we continuously drive our operating param

eters to the next level all the time.

Bhavesh Patel: Thank you and I appreciate you increasing the dividend and looking forward to the brighter future, thank you.

JK Paper Limited
May 21, 2024

Page 16 of 16

A.S. Mehta: Thank you so much and thank you all the people those who are connected. Thank you very much.

Moderator: Thank you, sir. On behalf of IDBI Capital Markets and Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.